

THE NCA HUB

Examination Preparation

CANADIAN CONTRACT LAW

EXAM TEMPLATES

36 IRAC Templates | Full Analytical Frameworks | Worked Trigger Scenarios
NCA Syllabus: Revised April 2023 | Ben-Ishai & Percy 11th ed. | Open-Book | 3 Hours

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HOW TO USE THESE TEMPLATES

These 36 IRAC templates cover every testable doctrine on the NCA Canadian Contract Law syllabus. Each template provides: a USE WHEN trigger (when to deploy this template in the exam); an ISSUE formulation (the opening sentence); a RULE statement with the specific case names required; an APPLICATION FRAMEWORK with the analytical steps to follow; and a CONCLUSION shell.

PARAMETER	DETAIL
Exam Format	Open-book, hard copy only. 3 hours. ~4 questions, 100 marks. Pass = 50%. May include multiple-choice questions.
Case Citation	Name of the case is sufficient — no full citation needed (confirmed in sample exam instructions). 'As held in Ron Engineering' earns the same marks as '[1981] 1 SCR 111.'
Exam Style	Problem-based. Deploy facts in your analysis — do not summarize the facts first. 'Because BDL read only the summary sheet, it assumed a risk...' earns more than 'The facts are...'
Template Use	Templates are analytical scaffolds — not scripts. Adapt the placeholder text [IN BRACKETS] to the specific facts. An answer that mechanically applies a template without connecting to the facts earns zero on application.
Mark Allocation	~1.8 minutes per mark. A 10-mark question = 18 minutes. A 30-mark question = 54 minutes. Allocate time by mark weight, not by question order.

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36	Full Problem Walkthrough — Q1 Tendering / Q3 Frustration	Multi-issue

PART A

UNIVERSAL STARTERS

Template 1 — Master Contract Law Opener — The Five Questions Framework

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use at the start of every contract law answer to establish the analytical sequence before examining individual issues.

The NCA examiner expects structured analysis. Flagging all five questions upfront proves you have surveyed the entire legal landscape.

ISSUE

The issues in this problem concern [NATURE OF DISPUTE — contract formation / contract modification / breach / discharge / remedies] between [PARTY A] and [PARTY B]. The analysis proceeds through the five questions of contract law: (1) Is there a contract? (2) What are its terms? (3) Is the contract valid and enforceable? (4) Has it been performed, excused, or breached? (5) What remedies are available?

RULE

Contract law governs legally enforceable agreements. A valid contract requires: (1) OFFER — a definite proposal intended to be binding on acceptance; (2) ACCEPTANCE — unconditional assent to the exact terms of the offer; (3) CONSIDERATION — something of value provided by each party; (4) INTENTION — to create legal relations; (5) CERTAINTY — essential terms sufficiently definite. The analysis proceeds in sequence. Once a valid contract is identified, the court determines its terms,

assesses any vitiating factors, and applies the appropriate remedies if the contract was breached or discharged.

THE FIVE QUESTIONS — TEMPLATE

QUESTION 1: Is There a Contract?

Because [PARTY A] [made an offer / issued a call for tenders → invitation to treat / made a statement that was a mere advertisement], and [PARTY B] [accepted / submitted a bid / responded], the issue of contract formation arises. [Apply: offer and acceptance; consideration; intention; certainty. Conclude: contract formed or not formed.]

QUESTION 2: What Are the Terms?

Because the parties [signed a written agreement / made oral statements / relied on standard form documents], the terms of the contract include [express terms / implied terms / exclusion clauses]. [Identify any disputed terms — representations vs terms, exclusion clauses, implied terms.]

QUESTION 3: Is the Contract Valid?

Because [PARTY A / PARTY B] [made a misrepresentation / was mistaken about X / entered under duress / the contract required illegal performance], a vitiating factor [may / does] apply. [Apply the relevant vitiating factor — mistake, misrepresentation, duress, unconscionability, illegality.]

QUESTION 4: Performance, Excuse, or Breach?

Because [PARTY A] [failed to perform / partially performed / repudiated the contract before performance], the issue of [breach / frustration / anticipatory breach] arises. [Apply: Davis Contractors for frustration; Stilk/Gilbert Steel for modification; White & Carter for anticipatory breach election.]

QUESTION 5: What Are the Remedies?

If a breach is established, [PARTY B] is entitled to [expectation damages / reliance damages / quantum meruit / specific performance]. Damages are limited by: (a) remoteness — Hadley v Baxendale (naturally arising or within reasonable contemplation at contracting); (b) duty to mitigate (reasonable steps taken?); (c) certainty (loss established to the required standard).

CONCLUSION

Applying the five-question framework to the facts: [1 — contract is / is not formed; 2 — terms include X; 3 — vitiating factor applies / does not apply; 4 — breach / frustration / no breach; 5 — damages of approximately \$X are recoverable, subject to remoteness and mitigation analysis].

⚠ EXAM TIP — CASE NAMES ARE MANDATORY

Every rule statement must include the case name. 'Under Hadley v Baxendale, damages must arise naturally from the breach or be within the reasonable contemplation of the parties' earns marks. 'Damages must be reasonably foreseeable' earns nothing. The NCA sample exam instructions confirm: the case name alone (without full citation) is sufficient. Make this a reflex.

Template 2 — Issue-Spotter Checklist — Trigger Words and Their Issues

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use in the first 3-4 minutes of the exam to scan the fact pattern and flag every issue before writing. The NCA Contracts exam embeds 4-6 legal issues in each question. Missing one costs marks regardless of how well you handle the issues you did identify.

TRIGGER WORD → ISSUE MAPPING

IF THE FACT PATTERN CONTAINS...	THESE ISSUES ARE IN PLAY
'Call for tenders' / 'Request for proposals' / 'submitted a bid'	Contract A / Contract B framework (Ron Engineering). Was the bid compliant (MJB Enterprises)? Exclusion clause in tender documents (Tercon three-step). Privilege clause and its limits.
'Additional \$X' / 'agreed to pay more' / 'modification'	Pre-existing duty rule (Stilk v Myrick; Gilbert Steel). Fresh consideration? Williams v Roffey practical benefit (argue both sides in Canada). Pre-existing duty table.
'On condition that' / 'subject to' / 'provided that'	Contingent agreement. Condition precedent to contract itself vs to performance vs condition subsequent. Who bears the condition? Waiver? Prevention of satisfaction (Mackay v Dick)?
'He told me the business earned X' / 'She said the roof was sound'	Representation vs term (Heilbut Symons; Dick Bentley vs Oscar Chess). If false: misrepresentation type (fraudulent/Derry v Peek; negligent/Hedley Byrne; innocent). Remedies: rescission + damages?
'Third party' / 'Humane Society' / 'on behalf of' / 'for the benefit of'	Privity of contract (Dunlop v Selfridge). London Drugs exception (employee + performing contracted service). Trust argument. Assignment. Agency.
'Both parties believed...' / 'mistake about the subject matter'	Common mistake (Bell v Lever Brothers — extremely high threshold). Mutual mistake (Raffles — cross-purposes). Unilateral mistake: quality (Smith v Hughes — no relief) vs identity (Boulton v Jones — may void).
'Impossible to complete' / 'new law enacted' / 'destroyed before delivery'	Frustration (Davis Contractors — radically different?). Taylor v Caldwell (destruction). Krell v Henry (purpose frustrated). Herne Bay (not frustrated — other purposes remain). Ontario Frustrated Contracts Act consequences.
'He lied about his intentions' / 'she misled us while the contract was on foot'	Bhasin v Hrynew duty of honest performance. Was it actively misleading? CM Callow v Zollinger (half-truths / silence / omissions count). Not a duty of disclosure.
'\$10,000 penalty for any breach' / 'liquidated damages clause'	Liquidated damages vs penalty clause. Is the stipulated sum a genuine pre-estimate of loss? If grossly disproportionate = unenforceable penalty.
'Lost profits on the contract' / 'consequential losses' / 'damages claim'	Hadley v Baxendale: (1) naturally arising from breach? (2) within reasonable contemplation of both parties at contracting? Victoria Laundry: type of loss foreseeable (extent need not be). Mitigation duty. Certainty.
'Won't complete the job' /	Anticipatory breach. White & Carter election: accept repudiation

'cancelled before the due date'	(sue now, mitigate) or affirm contract (continue and claim full price — must be able to perform without cooperation; not wholly unreasonable).
'Specific piece of land' / 'unique painting' / 'want them to complete the building'	Specific performance (Semelhago — land no longer automatically unique in Canada; must show damages inadequate). Personal service contracts → no specific performance. Building contracts → usually no specific performance (supervision).
'Standard form contract' / 'exclusion clause' / 'limitation of liability'	Incorporation (signature L'Estrange; notice Thornton; unusual terms Interfoto red hand). Tercon three-step: (1) Does clause cover this breach? (contra proferentem) (2) Unconscionable at formation? (3) Public policy bar?

MARK ALLOCATION: Time Budget for This Exam

Q1 (25 marks) = 45 min. Q2 (25 marks) = 45 min. Q3 (30 marks / 3 × 10) = 54 min. Q4 (20 marks) = 36 min. Use the first 4 minutes to read and flag all issues. Allocate time strictly by mark weight.

CONCLUSION

Having flagged all issues in the fact pattern, I will address them in order: [1 — state each issue identified in mark-weight order]. I will apply the relevant analytical framework to each issue in turn.

PART B

CONTRACT FORMATION — OFFER, ACCEPTANCE, CERTAINTY

Template 3 — Offer vs Invitation to Treat**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use whenever the fact pattern asks whether a binding contract was formed — specifically, whether the first communication was an offer or merely an invitation to treat.

Classic contexts: advertisements; calls for tender; price lists; display of goods; auction bids.

ISSUE

The threshold issue is whether [PARTY A]'s [statement / advertisement / tender call / display of goods] constituted a binding OFFER that could be accepted by [PARTY B], or merely an INVITATION TO TREAT — a solicitation of offers from others that [PARTY A] remained free to accept or reject.

RULE

AN OFFER is a definite proposal, communicated to the offeree, that demonstrates an intention to be bound by that proposal if accepted. Acceptance of a true offer creates a contract immediately. AN INVITATION TO TREAT is a preliminary communication — an invitation for others to make offers. The party issuing an invitation to treat retains the freedom to accept or reject any response and is not bound until it chooses to accept. KEY CASES: • Partridge v Crittenden [1968]: An advertisement in a magazine = invitation to treat. Advertisers would otherwise be bound to unlimited acceptors they could not fulfil. • Carlill v Carbolic Smoke Ball Co [1893]: EXCEPTION — where the advertisement is sufficiently definite, is addressed to the world, and leaves no further negotiation necessary, it can be an offer. The Carbolic Smoke Ball advertisement was an offer because it specified the exact act required for acceptance (use the ball as directed), the exact payment (£100), and the company's intention to be bound (depositing £1,000 with a bank). • Ron Engineering [1981] SCC: A call for tenders is an INVITATION TO TREAT — not an offer. The TENDER submitted in response is the offer. Submission of a compliant tender creates Contract A.

STEP 1: Identify the Communication

Because [PARTY A] [sent an advertisement / issued a price list / posted a sign offering goods at a stated price / issued a call for tenders], the first question is whether this communication was sufficiently definite and final to constitute an offer, or whether it was a mere invitation to treat.

STEP 2: Apply the Partridge / Carlill Distinction

Because [the advertisement / communication] [did not specify quantity / was addressed to an unlimited public / left terms to be negotiated / required further acceptance by PARTY A] → it was an INVITATION TO TREAT (Partridge). [ALTERNATIVELY]: Because [it specified the exact performance required, the exact payment, and left nothing to negotiate / it demonstrated a clear intention to be bound by acceptance / it was in the context of a unilateral offer requiring performance] → it was an OFFER (Carlill).

STEP 3: Tendering Context — Ron Engineering

Because [the City / owner] issued a [call for tenders / request for proposals], the call was an INVITATION TO TREAT under Ron Engineering [1981] SCC. [PARTY B]'s submission of a [compliant / non-compliant] tender was the OFFER. If the tender was compliant, Contract A was formed at the moment of submission. The owner then has contractual obligations under Contract A — including to consider all compliant bids fairly.

CONCLUSION

[PARTY A]'s communication was [an OFFER / an INVITATION TO TREAT] because [key reason]. [If an offer]: [PARTY B]'s acceptance [formed / did not form] a binding contract because [acceptance was / was not communicated; was / was not unconditional]. [If an invitation to treat]: [PARTY B]'s response was the offer; [PARTY A] [did / did not] accept it; a contract [was / was not] formed.

POTENTIAL EXAM SCENARIOS

1. A shop displaying goods with prices — invitation to treat. The customer at the till makes the offer. The cashier's acceptance creates the contract.
2. An auction — bid = offer; fall of hammer = acceptance. Unless 'without reserve' — then highest bid must be accepted.
3. Call for tenders — invitation to treat. Each compliant tender submitted = offer that creates Contract A (Ron Engineering).
4. A newspaper advertisement offering £100 to whoever catches influenza after using the smoke ball — offer to the world (Carlill). Accepted by performance.

△ EXAM TIP — TENDERING IS THE PRIMARY NCA EXAM CONTEXT

Both NCA sample exam Q1s begin here: identify that the call for tenders is an invitation to treat (Ron Engineering), that compliant tenders create Contract A, and then analyze the specific implied terms under Contract A. The offer/invitation distinction is the gateway to the entire tendering analysis.

Template 4 — Contract A / Contract B — Full Tendering Framework**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use for any question involving a call for tenders, request for proposals, or bidding process.

This is the MOST HEAVILY TESTED doctrine on the NCA Contracts exam. Both official sample exam Q1s are entirely tendering questions. Master this template completely.

ISSUE

The issue is whether a tendering contract (Contract A) was formed between [OWNER] and [BIDDER(S)], what terms are implied into Contract A, whether [OWNER] breached Contract A by [accepting a non-compliant bid / failing to award to the lowest compliant bidder / breaching the duty of fairness], and whether an exclusion clause bars [BIDDER]'s claim.

RULE

CONTRACT A / CONTRACT B FRAMEWORK (Ron Engineering [1981] SCC; MJB Enterprises [1999] SCC; Tercon 2010 SCC 4): CONTRACT A (Tendering Contract): A contract is formed between the OWNER and EACH COMPLIANT BIDDER at the moment a compliant tender is submitted. Contract A is distinct from the underlying contract being tendered (Contract B). IMPLIED TERMS OF CONTRACT A (MJB Enterprises): (1) The owner will consider all compliant bids. (2) The owner will only accept a COMPLIANT bid — the privilege clause ('lowest or any tender may not necessarily be accepted') does not permit acceptance of non-compliant bids. (3) Where the owner's own specifications or policy manual require award to the 'lowest compliant bidder,' the owner must so award. (4) The owner owes a duty of FAIRNESS to all compliant bidders — it cannot favour one bidder by sharing confidential information, secretly negotiating, or changing the evaluation criteria. CONTRACT B (The Main Contract): Formed when the owner accepts one of the tenders. Only a compliant tender can form Contract B. EXCLUSION CLAUSE (Tercon): Where the tender documents contain an exclusion clause, apply the three-step test: (1) Does the clause cover this breach on its proper interpretation? (contra proferentem for ambiguity) (2) Was the clause unconscionable at formation? (3) Should the court refuse enforcement on public policy grounds?

STEP 1: Identify the Tender Process and Contract A Formation

Because [OWNER] issued a call for tenders on [date], the call was an INVITATION TO TREAT under Ron Engineering — not an offer. Each bidder that submitted a compliant tender created Contract A with [OWNER] at the moment of submission. [BIDDER A] submitted a tender on [date]. The issue is whether [BIDDER A]'s tender was COMPLIANT.

STEP 2: Compliance Analysis — Was the Bid Compliant?

Because [BIDDER A]'s tender [met all specifications / did not meet clause [X] of the tender documents requiring [equipment age / specific format / eligibility criteria]], the bid was [compliant / non-compliant].

[IF NON-COMPLIANT]: A non-compliant bid does not create Contract A. [BIDDER A] has no rights under Contract A. [IF COMPLIANT]: Contract A was formed, giving [BIDDER A] the right to have its bid considered fairly, and to benefit from the implied terms of Contract A. [IF PARTICULARS CLAUSE APPLIES]: Because clause [XX] of the tender documents permitted bidders unable to comply with specifications to submit 'full particulars for approval,' and [BIDDER A] did submit such particulars on [date], the issue is whether this cures the non-compliance. Per MJB, a privilege clause does not permit acceptance of a truly non-compliant bid — only a waiver of a technicality or minor informality.

STEP 3: Did the Owner Breach Contract A?

[OPTION A — Owner accepted a non-compliant bid]: Because [OWNER] accepted [BIDDER B]'s bid despite [BIDDER B] being [non-compliant / ineligible — Tercon], [OWNER] breached the implied term of Contract A that only compliant bids would be considered (MJB Enterprises). This breach runs to ALL compliant bidders — [BIDDER A] and any other compliant bidder has a breach of Contract A claim. [OPTION B — Owner failed to award to lowest compliant bidder]: Because [OWNER]'s own policy manual / tender specifications required award to the 'lowest evaluated tender' and [BIDDER A]'s compliant bid was lower than [BIDDER B]'s, [OWNER] breached Contract A by awarding to [BIDDER B]. [OPTION C — Duty of fairness breach]: Because [OWNER]'s officer communicated to [BIDDER B] that its bid was acceptable before the bid deadline / shared [BIDDER A]'s bid price with [BIDDER B], [OWNER] breached the implied duty of fairness to all compliant bidders.

STEP 4: Exclusion Clause — Tercon Three-Step

[IF THERE IS AN EXCLUSION CLAUSE IN THE TENDER DOCUMENTS]: (1) INTERPRETATION: Does the exclusion clause, properly construed, apply to this breach? Because the clause states [QUOTE THE CLAUSE], and [BIDDER A]'s claim arises from [OWNER's dealings with an ineligible bidder / OWNER's failure to apply the evaluation criteria / OWNER's breach of the duty of fairness] — which is [within / outside] the scope of 'claims arising from participating in the [RFP / tender process],' the clause [does / does not] apply. In Tercon, the clause covered claims from 'participating in the RFP' — NOT claims from the Province dealing with an ineligible party. (2) UNCONSCIONABILITY: Even if the clause applies, was it unconscionable at the time Contract A was formed? Because [BIDDER A] [is a major commercial contractor / had no opportunity to negotiate / entered the tender on a take-it-or-leave-it basis], [unconscionability is / is not] established. (3) PUBLIC POLICY: Even if not unconscionable, should the court refuse enforcement on public policy grounds? The public interest in a fair and transparent tendering process is relevant — but the onus of demonstrating public policy non-enforcement is high (Tercon, Binnie J. dissent).

STEP 5: Damages for Breach of Contract A

If Contract A was breached, [BIDDER A]'s damages are: • RELIANCE DAMAGES: The costs of preparing and submitting the tender (wasted bidding costs) — these are directly caused by the breach and are recoverable as a matter of course. • EXPECTATION DAMAGES: The profit [BIDDER A] would have earned if Contract B had been awarded to it. This requires [BIDDER A] to prove: (a) it would have been awarded Contract B (probability); (b) the profit margin on Contract B. More difficult to establish than reliance loss. • NOTE: [BIDDER A] cannot recover both the full expectation loss AND reliance loss — they must elect between the two measures (or recover whichever is greater).

CONCLUSION

SUMMARY: (1) Contract A [was / was not] formed between [OWNER] and [BIDDER A] — the bid was [compliant / non-compliant]. (2) [OWNER] [did / did not] breach Contract A by [accepting a non-compliant bid / failing to award to the lowest compliant bidder / breaching the duty of fairness]. (3) The exclusion clause [does / does not] bar [BIDDER A]'s claim — the three-step Tercon analysis shows

[result at each step]. (4) [BIDDER A]'s damages are [reliance loss (bidding costs) / expectation loss (profit on Contract B)].

POTENTIAL EXAM SCENARIOS

1. DGL bid included a 2007 compactor (clause requires 2008+). Did submit particulars under clause [41]. Mary assured DGL there was no problem. CSL bid fully compliant at higher price. → Contract A formed with CSL. Non-compliance question: is the age deficiency a 'minor informality' (waivable under clause [42]) or a fundamental specification breach (MJB — not waivable)? Mary's assurance may create estoppel against the City.
2. Tercon scenario: RFP limits eligible bidders to six named parties. One eligible bidder forms a joint venture with an ineligible party and submits in its own name. Province knows and accepts the bid. → Province breaches Contract A with all other eligible bidders. Exclusion clause: only covers claims 'arising from participating in the RFP' — does NOT cover claims from Province accepting an ineligible bidder's submission.
3. Owner accepts highest compliant bid despite policy manual requiring award to lowest compliant bid. → Breach of implied term from MJB Enterprises — must award to lowest evaluated (compliant) tender.

Template 5 — Tercon Three-Step Exclusion Clause Test

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever an exclusion or limitation of liability clause is raised — whether in a tendering context or any other commercial contract.

Apply this template after establishing that the clause has been incorporated into the contract (see Template 17 for incorporation). Tercon applies to the enforceability of an incorporated clause.

ISSUE

The issue is whether the exclusion clause contained in [DOCUMENT] — which purports to [EXCLUDE / LIMIT] [PARTY A]'s liability [for all claims / for claims arising from X] — bars [PARTY B]'s claim for breach of contract.

RULE

TERCON CONTRACTORS LTD v BRITISH COLUMBIA, 2010 SCC 4: The Supreme Court abolished the doctrine of fundamental breach and replaced it with a unified three-step test for exclusion clauses. All nine judges unanimously adopted this framework: STEP 1 — INTERPRETATION: Does the exclusion clause, as a matter of contractual interpretation, apply to the breach in question? Courts apply strict construction. Ambiguity is resolved contra proferentem (against the drafter). If the clause does not apply as a matter of interpretation → END OF ANALYSIS. The clause cannot protect the defendant. STEP 2 — UNCONSCIONABILITY: Even if the clause applies on its face, was it unconscionable at the TIME THE CONTRACT WAS FORMED? This requires inequality of bargaining power + an improvident bargain. STEP 3 — PUBLIC POLICY: Even if not unconscionable, should the court decline to enforce the clause on PUBLIC POLICY grounds? The party seeking to avoid the clause bears the onus. This is a high bar — it applies where enforcement would be contrary to a fundamental value of the legal system. NOTE: Fundamental breach is DEAD. Courts may no longer ask whether a breach was 'so fundamental' as to prevent reliance on an exclusion clause. The Tercon three-step test is the only analysis.

STEP 1: Interpretation — Does the Clause Cover This Breach?

Because the exclusion clause states: '[QUOTE THE CLAUSE]', I must determine whether [PARTY B]'s claim — which arises from [DESCRIBE THE BREACH] — falls within the scope of the language. [APPLY STRICT CONSTRUCTION]: The clause will not be read to cover a broader range of conduct than its words naturally support. A clause that excludes 'claims arising from participating in the tendering process' (as in Tercon) will NOT cover claims arising from the owner's dealings with an ineligible third party. [APPLY CONTRA PROFERENTEM]: Because the clause was drafted by [PARTY A], any ambiguity must be resolved against [PARTY A] and in favour of [PARTY B]. If the clause is ambiguous about whether it covers [this type of breach], the ambiguity is resolved against [PARTY A]. [NEGLIGENCE EXCLUSION]: Where [PARTY A] seeks to exclude liability for its own NEGLIGENCE, the clause must do so in CLEAR TERMS. If the clause does not expressly mention negligence and is susceptible of a meaning that does not cover negligence, it will not be construed to exclude negligence liability. CONCLUSION ON STEP 1: The clause [does / does not] apply to [PARTY B]'s claim because [reason — the breach arose from conduct outside the clause's scope / the language clearly covers this type of breach].

STEP 2: Unconscionability at Formation

[ONLY PROCEED IF STEP 1 CONCLUDES THE CLAUSE APPLIES] Because [PARTY A] and [PARTY B] [were sophisticated commercial parties dealing at arm's length / were of unequal bargaining power because PARTY B had no practical alternative], unconscionability [is / is not] established. [IF SOPHISTICATED COMMERCIAL PARTIES — as in most tendering cases]: Unconscionability is unlikely. As the Tercon minority noted, 'contractors are free to decline to participate in a tendering process if they object to the terms.' The clause is NOT unconscionable. [IF CONSUMER OR STANDARD FORM CONTEXT]: Greater scrutiny applies. Where the stronger party imposed the clause on a weaker party without meaningful opportunity to negotiate, and the clause produces an improvident result, unconscionability may be established.

STEP 3: Public Policy

[ONLY PROCEED IF STEPS 1 AND 2 CONCLUDE THE CLAUSE APPLIES AND IS NOT UNCONSCIONABLE] The party seeking to avoid the clause bears the onus of establishing that enforcement would contravene a fundamental value of the legal system. This is a high bar. Factors that MIGHT ground a public policy refusal: enforcement enables deliberate fraud; the clause conceals criminal activity; the clause is so one-sided as to be antithetical to the administration of justice. [THE PUBLIC INTEREST IN A FAIR TENDERING PROCESS was acknowledged in Tercon but held insufficient to bar the exclusion clause on public policy grounds.] CONCLUSION ON STEP 3: The public policy bar [does / does not] apply because [reason].

CONCLUSION

The exclusion clause [bars / does not bar] [PARTY B]'s claim. STEP 1 — Interpretation: The clause [does / does not] cover this breach [because the breach arose from conduct outside its scope — Tercon / because the clear language captures this breach]. [IF STEP 1 RESOLVES IN PARTY B'S FAVOUR: End of analysis — the clause does not apply.] STEP 2 — Unconscionability: [was / was not] established. STEP 3 — Public policy: [does / does not] apply.

⚠ EXAM TIP — MOST TERCON QUESTIONS ARE RESOLVED AT STEP 1

In virtually every NCA exam scenario, the exclusion clause dispute will be resolved at Step 1 — whether the clause, on its proper interpretation, covers the breach in question. Steps 2 and 3 rarely succeed in commercial contexts between sophisticated parties. Focus your analysis on Step 1: (a) what does the clause say? (b) what did the breach consist of? (c) does (a) cover (b)? Apply contra proferentem if ambiguous.

Template 6 — Acceptance — Mirror Image Rule, Postal Rule, Battle of Forms

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when the fact pattern raises questions about whether a valid acceptance occurred, what form of communication was required, or whether a counter-offer destroyed the original offer.

Essential for any question about whether a contract was formed when parties exchanged communications.

ISSUE

The issue is whether [PARTY B]'s [communication / counter-proposal / silence / conduct] constituted a valid acceptance of [PARTY A]'s offer, thereby forming a binding contract.

RULE

For acceptance to be valid, it must: (1) be UNCONDITIONAL — accept the exact terms of the offer without modification (the 'mirror image rule'); (2) be COMMUNICATED to the offeror (general rule: acceptance effective when received); (3) be in the required form (if specified in the offer); (4) occur before the offer has been revoked. MIRROR IMAGE RULE: Any attempt to accept on different terms constitutes a COUNTER-OFFER (not an acceptance). A counter-offer destroys the original offer — *Hyde v Wrench* [1840]. A mere REQUEST FOR INFORMATION is not a counter-offer ('Would you take less?' does not destroy the offer). POSTAL RULE: Where acceptance by post is the authorized or expected mode, acceptance is COMPLETE when the letter is POSTED — not when received. The postal rule does NOT apply to instantaneous communications (fax, email, telex — *Entores v Miles Far East*). BATTLE OF FORMS: Where each party submits its own standard form with conflicting terms, the 'last shot' rule traditionally applies — the party who fires the last form prevails if the other party performs without objection. Modern courts look for a consensus on essential terms. CONDITIONAL ACCEPTANCE: 'I accept, provided that...' is a counter-offer — not an acceptance — unless the condition is a trivial administrative matter rather than a substantive term.

STEP 1: Identify [PARTY B]'s Response

Because [PARTY B] responded with [EXACT NATURE OF RESPONSE], I must determine whether this response was: (a) an unconditional acceptance (forming a contract immediately); (b) a counter-offer (destroying the original offer and constituting a new offer by [PARTY B]); or (c) a mere request for information (not affecting the original offer).

STEP 2: Apply the Mirror Image Rule

[IF PARTY B'S RESPONSE MATCHED THE OFFER EXACTLY]: Because [PARTY B]'s response accepted all the terms of [PARTY A]'s offer without modification or addition, it was a valid unconditional acceptance. A contract was formed. [IF PARTY B'S RESPONSE INTRODUCED NEW TERMS]: Because [PARTY B]'s response changed [TERM X — price / delivery date / quantity] from what [PARTY A] offered, [PARTY B]'s response was a COUNTER-OFFER under *Hyde v Wrench*. The counter-offer destroyed [PARTY A]'s original offer. If [PARTY A] then tried to accept the original offer, there was no longer an offer capable of acceptance.

STEP 3: Communication and Timing

Because [PARTY B] communicated its acceptance by [letter / email / fax / conduct], the timing of contract formation is governed by [POSTAL RULE — posted, not received / GENERAL RULE — received, not sent]. [IF POSTAL RULE APPLIES]: Because [PARTY A] offered by post and acceptance by post was the expected mode, [PARTY B]'s acceptance was complete when it was POSTED on [date] — even though [PARTY A] may have received it on a different date. Revocation before posting would defeat acceptance; revocation after posting would not. [IF INSTANTANEOUS COMMUNICATION]: Because [PARTY B] accepted by email/fax, the postal rule does not apply. Acceptance is effective when RECEIVED by [PARTY A].

CONCLUSION

[PARTY B]'s response [was / was not] a valid acceptance. It [was an unconditional acceptance, forming a contract on [date] / was a counter-offer that destroyed [PARTY A]'s original offer]. The contract [was / was not] formed.

Template 7 — Certainty of Terms — Agreement to Agree and Saving Mechanisms**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use when the agreement contains missing essential terms, language like 'to be agreed,' 'to be determined,' or 'reasonable.'

Also use when an agreement is conditional on future agreement between the parties.

ISSUE

The issue is whether the agreement between [PARTY A] and [PARTY B] is enforceable as a contract, or whether it fails for uncertainty — specifically because [TERM X] was [not agreed / left to future negotiation / too vague to be enforceable].

RULE

For a contract to be enforceable, its ESSENTIAL TERMS must be sufficiently definite. Courts are strongly disposed to find certainty — they will imply terms, apply custom, and construe ambiguities to preserve a bargain wherever possible. AGREEMENT TO AGREE IS NOT ENFORCEABLE: An agreement that leaves an essential term for future agreement between the parties is not enforceable as a contract — *May & Butcher v The King* [1934]. The court cannot supply the missing essential term. MECHANISMS TO SAVE APPARENT UNCERTAINTY: (1) IMPLICATION OF TERMS: The court may imply a term (e.g., 'reasonable price' in a sale of goods contract under the Sale of Goods Act). (2) COURSE OF DEALINGS: Prior consistent dealings may fill a gap. (3) CUSTOM: Trade custom may supply a missing term. (4) SEVERANCE: If only a minor term is uncertain, the court may sever it and enforce the remainder. ILLUSORY PROMISES: A promise that imposes no obligation on the promisor is illusory and cannot be consideration. 'I promise to buy as many widgets as I want' = illusory. 'I promise to buy all the widgets I need' = binding.

STEP 1: Identify the Allegedly Uncertain Term

Because the agreement between [PARTY A] and [PARTY B] provides that [QUOTE THE UNCERTAIN TERM], the specific question is whether [TERM X] — an essential term — is sufficiently

definite.

STEP 2: Is the Term Essential?

[IF ESSENTIAL]: Because [TERM X] relates to [price / quantity / duration / subject matter] — a fundamental aspect of the bargain — it cannot be omitted or left uncertain without destroying the contract. Per May & Butcher, a price 'to be agreed' on an essential sale is not enforceable. [IF NON-ESSENTIAL]: Because [TERM X] relates to [a minor administrative matter / a term that courts regularly imply / a term the law supplies by default (Sale of Goods Act)], its absence does not necessarily defeat the contract.

STEP 3: Can Uncertainty Be Cured?

[OPTION 1 — Implied reasonable price/term]: Because this is a [commercial sale of goods / lease / service contract], the court may imply a [reasonable price / reasonable time / reasonable quality] based on the nature of the transaction and the parties' circumstances. [OPTION 2 — Course of dealings]: Because the parties have previously dealt with each other on [X] occasions at the same [price / terms], the course of dealings fills the uncertain term. [OPTION 3 — Severing the uncertain provision]: Because the uncertain term ([TERM X]) is not essential to the bargain and the remainder of the agreement is coherent and enforceable, the court may sever [TERM X] and enforce the balance.

CONCLUSION

The agreement [is / is not] sufficiently certain to be enforceable. [TERM X] [is / is not] essential. [The uncertainty [can / cannot] be cured by [implied reasonable term / course of dealings / severance].] [Therefore, a binding contract [was / was not] formed.]

PART C

ENFORCEMENT OF PROMISES — CONSIDERATION, ESTOPPEL, PRIVITY

Template 8 — Consideration — Pre-Existing Duty Rule and Contract Modification

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever one party tries to enforce a promise to pay more (or accept less) for doing what they were already contractually obligated to do.

Classic scenario: a contractor threatens not to complete unless paid more; one party asks the other to accept a reduced price. Sample exam Q2 is this scenario.

ISSUE

The issue is whether [PARTY A]'s promise to pay [PARTY B] [an additional \$X / a bonus / more than the original contract price] is enforceable, having regard to the rule against enforcing promises to

perform a pre-existing contractual duty as consideration.

RULE

THE PRE-EXISTING DUTY RULE: Performance of an obligation that a party is already contractually obligated to perform cannot constitute consideration for a NEW promise. The pre-existing duty rule is the Canadian law — *Stilk v Myrick* [1809]; *Gilbert Steel Ltd v University Construction Ltd* (1976) ONCA. *Gilbert Steel (Canada)*: A modification of an existing contract that gives the promisee no new consideration — merely performing the existing obligation — is unenforceable. Even a written modification adding more money for the same work is unenforceable if there is no fresh consideration from the promisee. STEPS TO ESTABLISH GOOD CONSIDERATION FOR A MODIFICATION: (1) Identify the ORIGINAL contractual duty. (2) Determine whether the modification gives the promisee a NEW obligation they were not previously bound to perform. (3) If YES → fresh consideration; modification is binding. (4) If NO → pre-existing duty; modification is unenforceable absent consideration. *WILLIAMS v ROFFEY BROS* (UK — practical benefit — may argue but note uncertainty in Canada): In England, a practical benefit to the PROMISOR can constitute consideration for a modification even where the promisee is only doing what they were already obligated to do. This has NOT been uniformly adopted in Canada — *Gilbert Steel* remains the ONCA authority. Argue both positions when the facts suggest a practical benefit.

STEP 1: Identify the Original Contract and Its Terms

Because [PARTY A] and [PARTY B] entered a contract on [date] under which [PARTY B] was obligated to [DESCRIBE ORIGINAL OBLIGATION] in exchange for [ORIGINAL PRICE], [PARTY B] was already bound to perform [THE SPECIFIC OBLIGATION IN QUESTION].

STEP 2: Identify the Modification and What Was 'New'

Because [PARTY B] subsequently [demanded more money / offered to do less in exchange for the same payment / claimed the contract price was uneconomical], and [PARTY A] agreed to [pay more / accept less], the question is whether [PARTY B] provided any NEW consideration for [PARTY A]'s modified promise. [IF NO NEW CONSIDERATION]: Because [PARTY B] merely promised to perform [THE SAME OBLIGATION] it was already contractually bound to perform — [complete the job on time / deliver the goods as contracted] — [PARTY B]'s performance of the existing duty was NOT good consideration for [PARTY A]'s promise of additional payment. Under *Gilbert Steel*, the modification is unenforceable for lack of consideration. [IF NEW CONSIDERATION FOUND]: Because [PARTY B] additionally agreed to [complete earlier / supply additional goods / use a different (more expensive) material at its own cost / provide a benefit not previously required], there IS fresh consideration for the modification. The modification is enforceable.

STEP 3: Williams v Roffey — Practical Benefit Argument

[ARGUE EVEN IF NO TRADITIONAL CONSIDERATION]: Even if [PARTY B] provided no traditional consideration, [PARTY A] may have obtained a PRACTICAL BENEFIT from [PARTY B]'s promise to continue — specifically [avoiding a penalty clause for late delivery / avoiding the cost and disruption of finding a new contractor / ensuring the project was completed on schedule]. Under *Williams v Roffey Bros*, a practical benefit to the promisor can be consideration for a modification. HOWEVER: This is English law. In Canada, *Gilbert Steel* (ONCA) applies the traditional pre-existing duty rule. A Canadian court may or may not follow *Williams v Roffey*. [STATE BOTH CONCLUSIONS: if *Williams v Roffey* applies, the modification is enforceable; if *Gilbert Steel* applies, it is not.]

STEP 4: Part Payment of Debt — Foakes v Beer

[IF THE MODIFICATION INVOLVES ACCEPTING LESS THAN THE FULL AMOUNT OWED]: Under *Foakes v Beer* [1884], part payment of a debt does not satisfy the full amount absent fresh consideration. [PARTY A]'s promise to accept \$X in full settlement of a debt of \$Y is not binding — [PARTY A] may later sue for the balance. EXCEPTION: Promissory estoppel (see Template 10) may prevent [PARTY A] from resiling from the promise if [PARTY B] relied on it.

CONCLUSION

[PARTY A]'s promise to pay [the additional \$X / the modified amount] [is / is not] enforceable. [PARTY B] [did / did not] provide fresh consideration — it was [performing / not performing] an obligation beyond its existing contractual duty. [Under *Gilbert Steel (Canada)*, the modification is unenforceable.] [Under *Williams v Roffey* (UK — uncertain in Canada), the practical benefit of [X] may constitute consideration.] [The debt modification under *Foakes v Beer* is not binding absent fresh consideration from [PARTY B].]

POTENTIAL EXAM SCENARIOS

1. Carpenter agrees to complete a house for \$100,000. Midway through, he demands \$120,000 or he will stop work. Owner agrees. → Pre-existing duty (*Stilk*; *Gilbert Steel*). No fresh consideration. The promise to pay extra is unenforceable. Owner can claim breach if carpenter stops. Practical benefit argument: owner avoids disruption — but Canadian law uncertain.
2. Carpet supplier can't source Middle Eastern carpets due to blockades. Agrees to use more expensive Italian carpet (extra \$10,000) and complete on time. Owner says 'do what you have to do to get it done.' → Using Italian carpet is arguably NEW performance (different product); the owner obtains a practical benefit (on-time completion). Better argument for enforceability.
3. Creditor agrees to accept \$5,000 in full settlement of a \$7,000 debt. Debtor pays \$5,000. Creditor sues for the \$2,000 balance. → *Foakes v Beer* — part payment is not good consideration. Creditor can recover the balance. But: check for promissory estoppel.

Template 9 — Consideration — Past Consideration, Forbearance, and Sufficiency

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when the alleged consideration was provided BEFORE the promise was made, or when the 'consideration' consists of forbearing to exercise a legal right.
Also use for illusory promise arguments.

ISSUE

The issue is whether [PARTY B]'s [past act / promise to forbear] constitutes valid consideration for [PARTY A]'s promise to [pay \$X / perform Y].

RULE

PAST CONSIDERATION IS NO CONSIDERATION: Where the consideration offered was performed BEFORE the promise was made, it cannot support the new promise — it was not 'bargained for' in exchange for the promise. EXCEPTION — REQUESTED ACT WITH IMPLIED PAYMENT: Past consideration can support a later promise IF: (a) the prior act was done at the promisor's REQUEST; (b) the parties understood the act was to be remunerated; (c) a subsequent express promise is made (*Lampleigh v Brathwait* [1615]; *Re Casey's Patents* [1892]). FORBEARANCE: Forbearing from

exercising a genuine legal right is valid consideration if: (a) the right being forborne is a real legal right (not a frivolous claim); (b) the forbearance is genuine — the party is actually giving up a right they intended to exercise. SUFFICIENCY: Courts do not ask whether consideration is adequate — any bargained-for detriment or benefit suffices (Thomas v Thomas [1842] — £1/year + maintain house is sufficient consideration for a house lease). But consideration must be real — not illusory.

STEP 1: When Was the Act Performed?

Because [PARTY B] [performed the act / rendered the services] [BEFORE / AFTER] [PARTY A]'s promise was made, the alleged consideration was [past / present / future consideration].

STEP 2: Apply the Past Consideration Rule or Exception

[IF PAST — AND NO PRIOR REQUEST]: Because [PARTY B]'s act was done spontaneously, without any prior request from [PARTY A], and [PARTY A] subsequently promised to pay, the consideration is past. Past consideration cannot support [PARTY A]'s promise — it is a bare gratuitous promise unenforceable at law. [IF PAST — BUT WITH PRIOR REQUEST]: Because [PARTY B] performed the act [AT [PARTY A]'S REQUEST], and both parties understood at the time that [PARTY B] would be compensated for this act, [PARTY A]'s subsequent promise to pay \$X merely fixes the amount of compensation that was always implied. Under Lampleigh v Brathwait, this is enforceable — the prior request + implied promise of payment transforms the past act into valid consideration.

STEP 3: Forbearance Analysis

Because [PARTY B] [agreed not to sue on its existing claim / promised not to exercise its right to terminate / refrained from demanding payment] in exchange for [PARTY A]'s promise to [pay / perform], the forbearance constitutes valid consideration IF [PARTY B]'s right was genuine. [CHECK]: Was the claim being forborne a genuine legal right? If [PARTY B]'s claim was frivolous or it had no intention of exercising the right, the forbearance is illusory and not good consideration.

CONCLUSION

[PARTY B]'s [past act / forbearance] [is / is not] valid consideration for [PARTY A]'s promise. [Past consideration — the act predated the promise and was not requested = no consideration.] [Past consideration with prior request (Lampleigh exception) — enforceable.] [Forbearance — genuine legal right forborne = valid consideration.]

Template 10 — Promissory Estoppel — High Trees / Burrows

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a party made a clear promise to waive or suspend their strict contractual rights, and the other party relied on that promise.

Remember: in Canada, promissory estoppel is a SHIELD (defence), not a SWORD (cause of action). It cannot create a new contract — it can only prevent enforcement of strict rights that were promised away.

ISSUE

The issue is whether [PARTY A]'s promise to [accept less / not enforce [SPECIFIC RIGHT] / extend time for performance] gives rise to a promissory estoppel that prevents [PARTY A] from now insisting on its strict legal rights against [PARTY B].

RULE

PROMISSORY ESTOPPEL (High Trees / John Burrows v Subsurface Surveys [1968] SCR 607): THREE ELEMENTS (Canadian law): (1) A CLEAR AND UNEQUIVOCAL PROMISE or representation by [PARTY A] that it would not enforce its strict legal rights. The promise must be clear — a mere indulgence or forbearance without a clear signal that strict rights are being waived may be insufficient (Burrows: accepting late payments without clear statement of waiver was insufficient). (2) RELIANCE by [PARTY B] on the promise — [PARTY B] must have acted or refrained from acting in reliance on the promise. CANADIAN LAW: detriment is NOT required in Canada — reasonable reliance (even without financial detriment) may suffice (Burrows). (3) It would be INEQUITABLE for [PARTY A] to resile from the promise in light of [PARTY B]'s reliance. SHIELD NOT SWORD: Promissory estoppel is a defence — it can be used by [PARTY B] to resist [PARTY A]'s claim for strict enforcement of rights [PARTY A] promised to waive. It CANNOT be used to create new rights or a new contract where none exists (Combe v Combe). SUSPENSION vs EXTINCTION: Promissory estoppel generally SUSPENDS the promisor's rights during the period the promise was intended to apply. The promisor may be able to give reasonable notice of their intention to resume strict rights — prospectively. Where the parties' circumstances have fundamentally changed in reliance on the promise, rights may be extinguished.

STEP 1: Identify the Promise and Its Clarity

Because [PARTY A] [told [PARTY B] that it would not insist on payment by the due date / accepted reduced monthly payments without objection for X months / stated that it would waive the late delivery penalty], the question is whether this constituted a CLEAR AND UNEQUIVOCAL promise to waive strict rights. [IF CLEAR PROMISE]: Because [PARTY A]'s statement specifically addressed [PARTY B]'s obligation and [PARTY A]'s intention not to enforce it, the promise was sufficiently clear. [IF AMBIGUOUS / MERE CONDUCT]: Because [PARTY A]'s conduct amounted only to [accepting late payments / not complaining], without any clear statement that strict rights were being suspended, this may be insufficient — per Burrows, a clear and unequivocal promise is required, not mere indulgence.

STEP 2: Identify Reliance

Because [PARTY B] [refrained from [making alternative arrangements / submitting a new tender bid / paying in full by the due date] in reliance on [PARTY A]'s promise, [PARTY B] did rely on the promise. Under Canadian law (Burrows), detriment is not required — reasonable reliance in light of the promise is sufficient.

STEP 3: Inequitability of Resiling

Because [PARTY B] altered its position in reliance on [PARTY A]'s promise — [describe specifically] — it would be inequitable for [PARTY A] to now revert to strict enforcement. [PARTY B] acted reasonably in light of the promise and would suffer unfair prejudice if [PARTY A] were permitted to resile.

STEP 4: Shield vs Sword

[PARTY B] is using promissory estoppel as a [SHIELD / attempted SWORD]. [AS SHIELD]: [PARTY B] is defending against [PARTY A]'s claim for [full payment / penalties / strict enforcement of the

contract]. Promissory estoppel operates properly as a defence here — [PARTY B] can resist [PARTY A]'s claim for the amount covered by the waiver/promise. [AS ATTEMPTED SWORD]: [PARTY B] is attempting to USE the promise to CREATE a new right (e.g., sue for a bonus promised without consideration). This is impermissible — promissory estoppel cannot create a new cause of action where no contract exists (*Combe v Combe*).

STEP 5: Suspension or Extinction?

The promissory estoppel [suspends / extinguishes] [PARTY A]'s rights. [IF SUSPENSION]: [PARTY A] may give reasonable notice to [PARTY B] that it intends to resume its strict rights going forward — the estoppel does not permanently bar enforcement. [IF EXTINCTION]: Because [PARTY B]'s position has fundamentally and irreversibly changed in reliance on the promise (e.g., [sold the property / terminated other contracts in reliance]), [PARTY A]'s rights may be permanently extinguished.

CONCLUSION

Promissory estoppel [does / does not] apply. [PARTY A]'s promise was [sufficiently clear / not sufficiently clear (*Burrows*)]. [PARTY B] [did / did not] rely on it. It [would / would not] be inequitable to permit [PARTY A] to resile. As a [shield / sword], the estoppel [is / is not] available. [PARTY A] [may / may not] resume strict rights on giving reasonable notice to [PARTY B].

Template 11 — Privity of Contract — Rule and London Drugs Exception

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever a THIRD PARTY (someone not named as a contracting party) seeks to enforce the contract or relies on it as a defence.

Sample exam Q2 — the Humane Society (a third party) cannot directly sue Ahmed on his promise to Adriano.

ISSUE

The issue is whether [THIRD PARTY], who was not a party to the contract between [PARTY A] and [PARTY B], can [enforce the contract / rely on an exclusion clause in the contract / bring a claim based on the contract].

RULE

THE PRIVACY RULE (*Dunlop Pneumatic Tyre Co v Selfridge & Co* [1915]): Only parties to a contract can sue on it or be sued on it. A third party who was not party to the contract — even if the contract was made expressly for their benefit — cannot enforce it. EXCEPTION 1 — LONDON DRUGS (Employees): *London Drugs Ltd v Kuehne & Nagel International Ltd* [1992] 3 SCR 299. Employees can invoke their employer's contractual exclusion clause if: (a) The exclusion clause extends its benefit to the employees (expressly or by necessary implication); AND (b) The employees were acting in the course of their employment, performing the very services contemplated by the contract, at the time of the incident. EXCEPTION 2 — AGENCY: A contracting party may contract as agent for a third party. Where agency is established, the principal (third party) can enforce the contract. EXCEPTION 3 — TRUST: Where a contracting party holds the benefit of the contract on trust for a third party, the

third party can enforce it through the trustee. **EXCEPTION 4 — ASSIGNMENT:** Contractual RIGHTS (not obligations) can generally be assigned. The assignee steps into the shoes of the assignor.

STEP 1: Is the Third Party a Party to the Contract?

Because [THIRD PARTY] [was named in the contract / was not named in the contract / was not present when the contract was formed], [THIRD PARTY] [is / is not] a party to the contract between [PARTY A] and [PARTY B]. [IF NOT A PARTY]: Under *Dunlop v Selfridge*, [THIRD PARTY] cannot enforce the contract and cannot be bound by its obligations.

STEP 2: Does the London Drugs Exception Apply?

[APPLY WHERE THIRD PARTY IS AN EMPLOYEE SEEKING TO USE EMPLOYER'S EXCLUSION CLAUSE]: (a) **EXTENDS BENEFIT TO EMPLOYEES:** Because the exclusion clause [expressly states it applies to all employees / must necessarily be read as extending to employees given the nature of the work], the first condition is [met / not met]. (b) **PERFORMING THE CONTRACTED SERVICE:** Because [THIRD PARTY] was [in the course of employment at the relevant time / performing the specific service — storage / delivery / installation — that [PARTY A] contracted for], the second condition is [met / not met]. **CONCLUSION:** The London Drugs exception [does / does not] allow [THIRD PARTY] to invoke the exclusion clause.

STEP 3: Trust Argument

[APPLY WHERE CONTRACT WAS MADE FOR THE BENEFIT OF A SPECIFIC THIRD PARTY]: Because [PARTY A] contracted specifically on the condition that [some benefit — payment / performance] be directed to [THIRD PARTY], and [PARTY B] was aware of and accepted this condition, [PARTY A] may hold the benefit of [PARTY B]'s promise on TRUST for [THIRD PARTY]. [THIRD PARTY] could then enforce through [PARTY A] as trustee. [REQUIREMENT]: An intention to create a trust must be evident from the circumstances — it cannot be lightly inferred. A mere stipulation that payment go to a third party may or may not create a trust depending on the specificity of the undertaking.

STEP 4: Alternative Claim — Separate Cause of Action for Third Party

[THIRD PARTY] may have an independent cause of action even without privity: • **NEGLIGENCE** (*Hedley Byrne*): If [PARTY B]'s careless statement to [THIRD PARTY] caused reliance loss — and the conditions for a duty of care are met — [THIRD PARTY] may sue in tort. • **NEGLIGENT MISREPRESENTATION:** If [PARTY A] carelessly represented to [THIRD PARTY] that a benefit was forthcoming, and [THIRD PARTY] incurred costs in reliance, [PARTY A] may be liable in tort for wasted expenditure. • **RESTITUTION:** If [THIRD PARTY] conferred a benefit on [PARTY B] that [PARTY B] accepted, quantum meruit may be available.

CONCLUSION

[THIRD PARTY] [can / cannot] enforce the contract between [PARTY A] and [PARTY B] under the general privity rule (*Dunlop v Selfridge*). [The London Drugs exception [does / does not] apply because [employee condition; performing contracted service condition].] [The trust argument [succeeds / fails] because [intention to create trust was / was not established].] [THIRD PARTY]'s alternative claim in [tort / restitution] [may / may not] succeed on these facts.]

Template 12 — Contingent Agreements — Conditions Precedent and Subsequent**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use whenever the agreement includes language like 'subject to,' 'provided that,' 'on condition that,' or 'if X occurs.'

Sample exam Q4 (David's 'as long as the condition about the buried hydro line was part of the agreement' language) is a contingent agreement question.

ISSUE

The issue is whether the agreement between [PARTY A] and [PARTY B] was subject to a condition [precedent / subsequent], whether that condition [was satisfied / was prevented from being satisfied / has occurred], and the legal consequences.

RULE

CONDITION PRECEDENT TO THE CONTRACT ITSELF: A condition that must be satisfied before a binding contract comes into existence. If the condition fails, there is never a binding contract — no obligations arise, and any payment made in anticipation is recoverable in restitution. **CONDITION PRECEDENT TO PERFORMANCE:** The contract binds the parties, but one party's obligation to perform does not arise until the condition is satisfied. The contract exists from the moment of agreement. **CONDITION SUBSEQUENT:** An event whose occurrence terminates existing contractual obligations. **WAIVER OF CONDITION:** Where a condition exists for the **SOLE BENEFIT** of one party, that party may waive the condition and proceed. Where the condition benefits both parties, it cannot be unilaterally waived. **IMPLIED OBLIGATION NOT TO PREVENT:** A party cannot rely on the failure of a condition that they themselves caused to fail — *Mackay v Dick* [1881]. A party also has an implied obligation to take reasonable steps to satisfy a condition within their control.

STEP 1: Classify the Condition

Because the agreement states '[QUOTE THE CONDITION],' this is a [condition precedent to the contract / condition precedent to performance / condition subsequent]. **[CONDITION PRECEDENT TO CONTRACT]:** The parties only become bound if [CONDITION X] is satisfied. Until [CONDITION X] is satisfied, neither party has any binding obligation. **[CONDITION PRECEDENT TO PERFORMANCE]:** The contract binds both parties from the moment of agreement, but [PARTY B]'s obligation to [pay / deliver / close] does not arise until [CONDITION X] is satisfied.

STEP 2: Was the Condition Satisfied?

Because [CONDITION X] [was / was not] satisfied by [DATE / EVENT], [PARTY B]'s obligation to perform [did / did not] arise. **[IF CONDITION NOT SATISFIED]:** [PARTY B]'s obligation to perform does not arise. [PARTY B] is not in breach for failing to perform — its obligation was conditioned and the condition was not met. **[IF CONDITION SATISFIED]:** [PARTY B]'s obligation to [pay / deliver / close] has been triggered. Failure to perform constitutes breach.

STEP 3: Did One Party Prevent Satisfaction?

Because [PARTY A] [refused to cooperate / took steps that made the condition impossible to satisfy / failed to take required steps to satisfy the condition], [PARTY A] may have violated the implied obligation not to prevent satisfaction of a condition (*Mackay v Dick*). Where a party prevents a condition from being satisfied, the condition is treated as having been satisfied — the prevented party can enforce the contract as if the condition was met.

STEP 4: Was the Condition Waived?

Because the [PARTY A / PARTY B] elected to [proceed with the transaction / close the purchase] despite [CONDITION X] not having been satisfied, the question is whether the unsatisfied condition was waived. [IF CONDITION FOR ONE PARTY'S SOLE BENEFIT]: Because [CONDITION X] exists solely for the benefit of [PARTY B] (e.g., a mortgage financing condition protecting the buyer), [PARTY B] could waive it unilaterally and proceed. If [PARTY B] waived and proceeded, the contract is enforceable despite the condition's non-satisfaction. [IF CONDITION FOR BOTH PARTIES' BENEFIT]: Because [CONDITION X] protects both parties, [PARTY B] could not unilaterally waive it. The condition's non-satisfaction prevents the obligations from arising.

CONCLUSION

The agreement [did / did not] contain a condition [precedent to the contract / precedent to performance / subsequent]. The condition [was / was not] satisfied. [If not satisfied]: [PARTY B]'s obligation to perform [did / did not] arise. [If prevented by PARTY A]: The condition is treated as satisfied — [PARTY B] can enforce the contract. [If waived]: The waiver [was / was not] effective — the condition [was / was not] for [PARTY B]'s sole benefit.

PART D

CONTRACT CONTENTS — TERMS, INTERPRETATION, EXCLUSION CLAUSES, GOOD FAITH

Template 13 — Representations vs Terms — Heilbut Symons and Dick Bentley

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever a party made a pre-contractual statement that later proves false, and the question is whether the remedy is misrepresentation (rescission + tort damages) or breach of contract (expectation damages).

Sample exam Q4 (Margaret's statement about buried power lines) is the primary representation vs term scenario.

ISSUE

The issue is whether [PARTY A]'s pre-contractual statement — that [DESCRIBE THE STATEMENT] — was incorporated as a TERM of the contract (breach → contract damages) or remained a mere REPRESENTATION (if false → misrepresentation remedies).

RULE

REPRESENTATION: A statement that induces the other party to enter the contract but is not

incorporated as a contractual term. If false: misrepresentation (see Templates 23-24). TERM: A statement incorporated into the contract as a promise as to the truth of the fact or as to the performance of an obligation. If breached: contract remedies (expectation damages, termination if condition). THE OBJECTIVE TEST: Courts ask what a reasonable person in the position of the parties would have understood the statement to mean. Four factors: (1) IMPORTANCE: Was the statement so important that the promisee would not have entered the contract without it? The more central the statement to the transaction, the more likely it is a term. (2) SPECIAL KNOWLEDGE: Did the representor have special expertise in the relevant area? *Dick Bentley Productions v Harold Smith (Motors)* [1965]: a DEALER's statement about a car's mileage = term (dealer has special knowledge); *Oscar Chess Ltd v Williams* [1957]: a PRIVATE SELLER's statement about a car's year = representation only (no special knowledge). (3) INDUCEMENT: Did the statement induce entry into the contract? (4) UNDERTAKING RESPONSIBILITY: Did the representor undertake personal responsibility for the truth of the statement? 'I guarantee...' vs 'I believe...' — the former is more likely a term. *HEILBUT SYMONS v BUCKLETON* [1913]: Presumption AGAINST finding a collateral warranty — the burden is on the party asserting the statement is a term.

STEP 1: Identify the Statement

Because [PARTY A] stated [QUOTE OR DESCRIBE THE STATEMENT] during negotiations [BEFORE / at the time of] contracting, this statement is a candidate for classification as a term or representation.

STEP 2: Apply the Four Factors

IMPORTANCE: Because [PARTY B] made it clear that the [buried power lines / car mileage / rooftop condition] was [central to / merely a minor consideration in] its decision to contract, the importance factor [supports / does not support] classifying the statement as a term. SPECIAL KNOWLEDGE: Because [PARTY A] [was a real estate developer with specific knowledge about the power line plans / was a specialist dealer with access to the car's service history / was an ordinary private seller with no particular expertise], the special knowledge factor [supports (*Dick Bentley*) / does not support (*Oscar Chess*)] treating the statement as a term. INDUCEMENT: Because [PARTY B] [specifically mentioned the statement as a condition of entering the contract / proceeded with the contract without making the statement a specific condition], the inducement factor [supports / does not support] term status. UNDERTAKING: Because [PARTY A] [said 'I guarantee...' / stated 'this is a condition of the agreement' / merely said 'I believe' or 'I think'], [PARTY A] [did / did not] undertake personal responsibility.

STEP 3: Parol Evidence Rule — Written Contract?

Because the parties [reduced their agreement to a written contract that [omitted / included] this statement], the parol evidence rule may apply. [IF WRITTEN CONTRACT OMITTED THE STATEMENT]: The parol evidence rule prevents [PARTY B] from using the oral statement to ADD a term to the written contract. However: (a) the statement may be enforceable as a COLLATERAL CONTRACT (separate oral contract); (b) where the written contract was incomplete or the statement was the very inducement for entry, the rule may not bar the evidence. [COLLATERAL CONTRACT ARGUMENT]: Even if the statement cannot be incorporated into the written contract as a term, it may be enforceable as a SEPARATE collateral contract. Consideration: [PARTY B]'s entry into the main contract. The collateral contract claim is available provided the oral statement is consistent with (not contradictory to) the written terms.

STEP 4: Classification and Consequences

[IF TERM]: Because the statement was incorporated as a TERM, [PARTY A]'s [failure to bury the lines / failure to deliver the car with 20,000 miles] is a BREACH OF CONTRACT. [PARTY B] is

entitled to [expectation damages / termination if the term is a condition]. [IF REPRESENTATION]: Because the statement was a REPRESENTATION only, [PARTY B]'s claim is for MISREPRESENTATION — the remedy depends on the type of misrepresentation (rescission and/or damages) — see Templates 23-24.

CONCLUSION

[PARTY A]'s statement [was / was not] incorporated as a contractual term. [The Dick Bentley test (special knowledge → term) / the Oscar Chess analysis (no special knowledge → representation) / the Heilbut Symons presumption against warranty] applies on these facts. [If term]: [PARTY A] is in breach; [PARTY B]'s remedy is [expectation damages / termination]. [If representation]: [PARTY B]'s remedy is [rescission + damages for misrepresentation].

Template 14 — Collateral Contracts and Entire Agreement Clauses

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a party seeks to enforce an oral promise that is not in the written contract, OR when an entire agreement clause is raised to prevent reliance on oral statements.
Particularly important in sale of goods and real estate contexts.

ISSUE

The issue is whether [PARTY A]'s oral statement [DESCRIBE STATEMENT] constitutes an enforceable COLLATERAL CONTRACT, or whether the ENTIRE AGREEMENT CLAUSE in the written contract prevents reliance on any such oral statements.

RULE

COLLATERAL CONTRACT: A separate, ancillary contract that exists alongside the main contract. Consideration = the act of entering into the main contract. **FOUR ELEMENTS:** (1) The statement must be clearly promissory (a warranty or guarantee, not mere opinion); (2) It must have been intended to induce entry into the main contract; (3) The other party did enter the main contract in reliance; (4) The collateral contract must be **CONSISTENT** with (not contradictory to) the main contract. **CITY & WESTMINSTER PROPERTIES v MUDD [1959]:** An oral promise made before the lease was signed — that the tenant could continue sleeping on the premises despite a residential use prohibition in the lease — was enforceable as a collateral contract. The tenant's entry into the lease was the consideration. **ENTIRE AGREEMENT CLAUSE:** A clause in the written contract stating it represents the entire agreement between the parties, superseding all prior representations and understandings. Effect: defeats collateral contract claims. Limits: does NOT prevent misrepresentation claims — a false statement of fact that induced the contract is still actionable even if the written agreement purports to be complete. **BHASIN LIMIT ON ENTIRE AGREEMENT CLAUSES:** Under Bhasin, the duty of honest performance cannot be contracted away. An entire agreement clause cannot shield active dishonesty that breached the duty of honest performance during negotiations.

STEP 1: Identify the Oral Statement and Its Nature

Because [PARTY A] stated [DESCRIBE STATEMENT] before the written contract was signed, and this statement [was / was not] included in the written agreement, the question is whether it is

enforceable as a collateral contract.

STEP 2: Is the Entire Agreement Clause Present?

[IF NO ENTIRE AGREEMENT CLAUSE]: The parol evidence rule may still apply — the oral statement may be excluded as extrinsic evidence varying the written contract. Proceed to the collateral contract analysis. [IF ENTIRE AGREEMENT CLAUSE PRESENT]: Because the written contract states [QUOTE THE CLAUSE], the clause prima facie prevents enforcement of any oral representations or collateral promises. However: (a) the clause may not prevent a MISREPRESENTATION claim; (b) under Bhasin, the clause cannot shield active dishonesty.

STEP 3: Collateral Contract Analysis

PROMISSORY NATURE: Because [PARTY A]'s statement was [clearly a guarantee / an assertion of fact / an expression of opinion] — [PROMISSORY STATEMENT IS MORE LIKELY A TERM; OPINION IS NOT]. INDUCEMENT: Because [PARTY B] entered the main contract in reliance on [PARTY A]'s statement — [PARTY B specifically stated the statement was essential / would not have signed without the assurance] — the inducement element is [met / not met]. CONSISTENCY: Because the collateral contract [would require [PARTY A] to bury the power lines / is consistent with the main contract's other terms / does NOT contradict any specific written term], the consistency requirement is [met / not met]. [IF CONTRADICTORY]: The collateral contract cannot be enforced to override a specific written term — courts will not allow oral evidence to contradict the written agreement.

CONCLUSION

The oral statement [is / is not] enforceable as a collateral contract. [The entire agreement clause [does / does not] bar the claim.] [Entire agreement clauses bar collateral contracts but NOT misrepresentation claims — [PARTY B]'s remedy in misrepresentation remains available.]

Template 15 — Interpretation — Sattva Capital and the Matrix of Fact

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever a term's meaning is disputed, or when a party seeks to use surrounding circumstances to give words a meaning other than their plain text.

Sattva Capital Corp v Creston Moly Corp, 2014 SCC 53 is the leading Canadian case — always cite it for interpretation questions.

ISSUE

The issue is the proper interpretation of [DISPUTED TERM] in the contract between [PARTY A] and [PARTY B] — specifically, whether it means [PARTY A's INTERPRETATION] or [PARTY B's INTERPRETATION].

RULE

SATTVA CAPITAL CORP v CRESTON MOLY CORP, 2014 SCC 53: Contracts are interpreted in their

'matrix of fact' — the surrounding circumstances known to both parties at the time of contracting. Courts are no longer confined to the four corners of the document when determining the meaning of contractual words. BUT: Surrounding circumstances CANNOT be used to contradict or change the plain, clear meaning of specific words — they serve as context for determining what ambiguous words mean, not as a tool to rewrite clear provisions. KEY PRINCIPLES: (1) ORDINARY MEANING: Words are given their ordinary, grammatical meaning unless context indicates otherwise. (2) CONTEXTUAL READING: The whole contract is read together — no clause is interpreted in isolation. (3) CONTRA PROFERENTEM: Ambiguity is resolved against the drafter. Critical for exclusion clauses and standard form contracts. (4) BUSINESS EFFICACY: An interpretation that makes the contract commercially workable is preferred. (5) EJUSDEM GENERIS: General words following specific words are limited to things of the same kind as the specific words. (6) EXTRINSIC EVIDENCE: Under Sattva, surrounding circumstances are admissible to determine the meaning of words — but not to add to or vary clear language.

STEP 1: Identify the Disputed Term and the Rival Interpretations

Because the contract states '[QUOTE THE DISPUTED TERM]', [PARTY A] argues this means [INTERPRETATION A], while [PARTY B] argues it means [INTERPRETATION B]. The court must determine the objective meaning of these words in context.

STEP 2: Apply the Plain Meaning Rule

Because the ordinary, grammatical meaning of '[DISPUTED TERM]' is [STATE PLAIN MEANING], the plain meaning [supports [PARTY A]'s / supports [PARTY B]'s / is inconclusive between the two parties'] interpretation.

STEP 3: Contextual Reading — The Whole Contract

Because reading the contract as a whole — particularly [OTHER RELEVANT PROVISION(S)] — the disputed term [must be interpreted in light of / is not affected by] [OTHER PROVISION]. [EXPLAIN THE CONTEXTUAL SIGNIFICANCE].

STEP 4: Apply the Sattva Matrix of Fact

Because both parties knew at the time of contracting that [DESCRIBE SURROUNDING CIRCUMSTANCES — industry practice / prior dealings / commercial purpose / subject matter], these surrounding circumstances inform the meaning of '[DISPUTED TERM]'. In Sattva, the SCC found that the 'announcement' date referred to the commercially meaningful date on which the transaction was publicized — not a technical or legalistic date. By analogy, [APPLY SURROUNDING CIRCUMSTANCES HERE].

STEP 5: Contra Proferentem (If Ambiguity Remains)

Because [the clause was drafted by [PARTY A] / the clause appears in a standard form contract prepared by [PARTY A]], any remaining ambiguity must be resolved against [PARTY A] under the contra proferentem rule. The interpretation that is less favourable to [PARTY A] prevails.

CONCLUSION

The proper interpretation of '[DISPUTED TERM]' is [STATE CONCLUSION]. [The plain meaning / Sattva's surrounding circumstances / contra proferentem] supports this interpretation. [PARTY A's / PARTY B's] position prevails.

Template 16 — Implied Terms — Business Efficacy and Officious Bystander

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a party seeks to enforce a term that is not expressly stated in the contract, but claims it must have been intended.

Also use when a gap in a contract must be filled to make it work.

ISSUE

The issue is whether the court should imply a term into the contract between [PARTY A] and [PARTY B] — specifically a term that [DESCRIBE THE PROPOSED TERM] — which, if implied, would require [PARTY A / PARTY B] to [DESCRIBE THE OBLIGATION].

RULE

TERMS IMPLIED IN FACT (specific to THIS contract, not all contracts of this type): (1) BUSINESS EFFICACY TEST (The Moorcock [1889]): A term is implied if it is NECESSARY to give the contract business efficacy — without the term, the contract would not work in a commercially meaningful way. The term must be necessary, not merely reasonable or desirable. (2) OFFICIOUS BYSTANDER TEST: A term is implied if it is so obvious that if a bystander had suggested it at the time of contracting, both parties would have said 'of course!' without hesitation. TERMS IMPLIED BY LAW (applicable to all contracts of a certain class): • Sale of goods contracts: implied conditions of merchantable quality and fitness for purpose (Sale of Goods Act). • Employment contracts: implied terms of mutual trust and confidence, notice of termination. TERMS IMPLIED BY CUSTOM: Where a trade or industry has an established and notorious custom, terms consistent with that custom may be implied if both parties are in that trade. NOTE: Courts do NOT imply terms merely because they would be reasonable or desirable — necessity is the standard for business efficacy; mutual obviousness is the standard for the officious bystander test.

STEP 1: Identify the Gap

Because the contract between [PARTY A] and [PARTY B] [does not address / is silent on] [DESCRIBE THE SPECIFIC MATTER], and a dispute has arisen about [DESCRIBE THE DISPUTE], the question is whether a term should be implied to address this gap.

STEP 2: Business Efficacy Test

Because without the proposed term — that [DESCRIBE PROPOSED TERM] — the contract [would be commercially unworkable / would leave [PARTY A or B] without any recourse in a clearly foreseeable situation / would produce an absurd commercial result], the business efficacy test [is / is not] satisfied. [The Moorcock: the court implied a term that the jetty owner warranted the riverbed was safe for the ship — without this, the contract had no commercial purpose.]

STEP 3: Officious Bystander Test

Because [the proposed term is / is not] so obvious that if a bystander had asked at the time of contracting, 'what happens if [DESCRIBE THE SITUATION]?', both [PARTY A] and [PARTY B] would

[have said immediately 'of course the term applies' / might have disagreed or deliberated], the officious bystander test [is / is not] satisfied.

STEP 4: Terms Implied by Law or Custom

[IF APPLICABLE]: Because this is a [sale of goods / employment / lease] contract, [the Sale of Goods Act / common law employment terms] implies [TERM] into all such contracts as a matter of law. No analysis of specific necessity is required. [IF CUSTOM]: Because the [trade / industry] has an established and well-known practice of [CUSTOM], both parties are presumed to have contracted on this basis.

CONCLUSION

The term [is / is not] implied into the contract. [Business efficacy: the term [is / is not] necessary to make the contract work — without it, [describe commercial absurdity].] [Officious bystander: the term [was / was not] so obvious as to go without saying.]

Template 17 — Exclusion Clauses — Incorporation (Before Applying Tercon)

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use BEFORE applying the Tercon three-step test (Template 5).

A clause that was never incorporated into the contract cannot affect the parties' rights — incorporation must always be addressed first.

ISSUE

The preliminary issue is whether the exclusion clause contained in [DOCUMENT / TICKET / SIGN / TERMS AND CONDITIONS] was INCORPORATED into the contract between [PARTY A] and [PARTY B], such that [PARTY A] can rely on it.

RULE

THREE METHODS OF INCORPORATION: (1) BY SIGNATURE (L'Estrange v Graucob [1934]): A signed document is binding in full, even if the signatory did not read it. The exception: misrepresentation as to the nature of the document. (2) BY NOTICE (Thornton v Shoe Lane Parking [1971]): An unsigned exclusion clause must be brought to the other party's attention BY OR BEFORE the time the contract is made. Notice AFTER contracting is too late. The notice must be REASONABLE — the more onerous or unusual the clause, the greater the steps required to give notice (Interfoto Picture Library v Stiletto [1989]: unusually onerous terms require specially prominent notice — 'red hand' principle). (3) BY COURSE OF DEALING: Where parties have consistently contracted on the same terms in previous dealings, the same terms may be incorporated into a new contract even without fresh notice.

STEP 1: Was the Document Signed?

[IF SIGNED]: Because [PARTY B] signed the [contract / form / ticket] containing the exclusion clause, the clause is incorporated under L'Estrange v Graucob — regardless of whether [PARTY B] read it.

[CHECK FOR MISREPRESENTATION EXCEPTION: Did [PARTY A] misrepresent the nature of the document before signing?] [IF NOT SIGNED]: Proceed to notice or course of dealing.

STEP 2: Was Notice Given Before Contracting?

Because [PARTY A] [gave / failed to give] notice of the exclusion clause [BEFORE / AFTER] the contract was formed, the timing test [is / is not] satisfied. [TIMING — Thornton]: Because the contract was formed when [PARTY B] [paid at the machine / made the booking / handed over the goods], and the exclusion clause was [on the ticket issued after payment / on a sign inside the building], notice was given [before / after] the contract was formed. If notice came after contracting, the clause is NOT incorporated. [SUFFICIENCY OF NOTICE]: Because the exclusion clause [was printed in fine print / was prominently displayed / was unusually onerous compared to industry standard], [reasonable / additional] notice was [given / not given]. Under Interfoto, an unusually harsh or onerous clause requires specific, prominent notice beyond ordinary fine-print disclosure.

STEP 3: Incorporation by Course of Dealing

Because [PARTY A] and [PARTY B] have [contracted on X prior occasions / consistently used the same standard terms in previous transactions], and those previous contracts [included / did not include] this exclusion clause, the clause [is / is not] incorporated into this contract by course of dealing — even without fresh notice.

CONCLUSION

The exclusion clause [was / was not] incorporated into the contract. [Signed → L'Estrange → incorporated.] [Notice before contracting → Thornton → [incorporated / not incorporated — notice was too late or insufficient given the clause's unusual nature (Interfoto)].] [Course of dealing → [incorporated / not incorporated].] [Only if incorporated should the Tercon three-step test be applied to assess enforceability.]

Template 18 — Good Faith — Bhasin and CM Callow

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever a party may have been dishonest, actively misleading, or less than candid about material facts directly connected to performance of the contract.

Do NOT use merely because a party exercised a contractual right the other party found unfair. Good faith = honesty, not generosity.

ISSUE

The issue is whether [PARTY A]'s conduct — [DESCRIBE CONDUCT: e.g., failing to disclose its intention not to renew / making misleading statements about the status of the agreement / remaining silent while knowing PARTY B was relying on a false impression] — breached the duty of honest performance arising from the general organizing principle of good faith recognized in Bhasin v Hrynew, 2014 SCC 71.

RULE

BHASIN v HRYNEW, 2014 SCC 71 (Cromwell J., unanimous): (1) ORGANIZING PRINCIPLE: Good faith is a general organizing principle of Canadian contract law — it underlies and informs specific doctrines but is not itself a standalone cause of action. (2) DUTY OF HONEST PERFORMANCE: Flowing from the organizing principle, there is a duty applicable to ALL contracts: parties must not lie or otherwise knowingly mislead each other about matters directly linked to the performance of the contract. (3) NOT A DUTY OF DISCLOSURE: The duty does not require parties to volunteer unfavourable information. Silence alone is not a breach. (4) NOT FIDUCIARY: The duty does not require a party to subordinate its own interests. (5) CANNOT BE CONTRACTED OUT OF ENTIRELY: Parties may modify the duty but not below a minimum standard of fair dealing. CM CALLOW INC v ZOLLINGER, 2020 SCC 45: Extends Bhasin. The duty of honest performance: • Applies to the exercise of RIGHTS under the contract (not just performance of primary obligations). • Can be breached by HALF-TRUTHS, OMISSIONS, and even SILENCE — where the conduct actively misleads the other party. • The test: was the conduct, in all the circumstances, actively misleading? Not whether the party had a general duty to disclose.

STEP 1: Identify the Allegedly Dishonest Conduct

Because [PARTY A] [stated / failed to correct / remained silent while knowing] [DESCRIBE THE RELEVANT CONDUCT], the first question is whether this conduct was directly linked to performance of the contract and was actively misleading.

STEP 2: Is the Conduct Directly Linked to Contract Performance?

Because [PARTY A]'s conduct related to [DESCRIBE HOW IT RELATES TO CONTRACT PERFORMANCE — whether the contract would be renewed / whether the product met specifications / how the contractual right was being exercised], it [is / is not] directly linked to performance of the contract. The Bhasin duty does not attach to every business relationship — it must connect to the performance of a specific contract.

STEP 3: Was the Conduct Actively Misleading?

[IF ACTIVE LIE]: Because [PARTY A] stated [DIRECT LIE], knowing it was false, this clearly breaches the Bhasin duty. [IF HALF-TRUTH]: Because [PARTY A] told [PARTY B] that [PARTIAL TRUTH], while knowing that [PARTY B] would draw a false inference from the incomplete statement, this is a HALF-TRUTH that breaches the duty under CM Callow. The duty is breached when a party creates a false impression — not only when it tells an outright lie. [IF SILENCE]: Because [PARTY A] remained silent while knowing [PARTY B] was operating under a material misapprehension that [PARTY A] had actively created or reinforced, the silence crosses the line from mere non-disclosure (permitted) into actively misleading conduct (prohibited). CM Callow: Baycrest continued discussing renewal while knowing it intended to terminate — this was actively misleading.

STEP 4: Not Disclosure, Not Generosity — Only Honesty

Because [PARTY A]'s obligation was merely to be honest — not to disclose its strategic plans / not to forego its contractual rights — the question is not whether [PARTY A] had to volunteer information, but whether it actively misled [PARTY B]. [PARTY A] [did / did not] actively mislead [PARTY B] because [REASON].

STEP 5: Remedies for Breach of Honest Performance Duty

If [PARTY A] breached the duty of honest performance, [PARTY B]'s damages are the economic loss caused by relying on [PARTY A]'s dishonest conduct — the amount that [PARTY B] would have

recovered had [PARTY A] acted honestly. In Bhasin: \$87,000 = the value of the business Bhasin could have preserved if Can-Am had been honest about its intentions.

CONCLUSION

[PARTY A]'s conduct [did / did not] breach the duty of honest performance under Bhasin and CM Callow. The conduct [was / was not] directly linked to performance of the contract. The conduct [was / was not] actively misleading — [active lie / half-truth / Callow-type misleading silence]. [PARTY B]'s damages for breach of the duty of honest performance are [AMOUNT — the value of what PARTY B would have recovered had PARTY A been honest].

⚠ EXAM TIP — GOOD FAITH LIMITS — THE MOST COMMON EXAM MISTAKE

Candidates often invoke Bhasin too broadly. Bhasin does NOT require: (a) disclosing unfavourable business plans; (b) giving up contractual rights the other party dislikes; (c) acting generously rather than commercially. Bhasin only requires: NOT LYING OR ACTIVELY MISLEADING. The key test is always: did the conduct create a false impression about matters linked to the contract?

Template 19 — Unconscionability — Harry v Kreutziger

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a party with significantly less sophistication or bargaining power entered a contract that was grossly unfair or improvident.

Typically arises in consumer contexts, situations involving unequal knowledge, or where vulnerable parties contracted under pressure.

ISSUE

The issue is whether the contract between [PARTY A] and [PARTY B] should be set aside on grounds of UNCONSCIONABILITY — specifically whether there was a significant inequality of bargaining power between the parties and an improvident bargain resulting from that inequality.

RULE

HARRY v KREUTZIGER (1978) BCCA: The two-element test for unconscionability: ELEMENT 1 — INEQUALITY OF BARGAINING POWER: One party was in a significantly weaker bargaining position than the other because of: (a) lack of education or limited literacy; (b) lack of information about the subject matter of the contract; (c) limited capacity to understand the transaction; (d) economic necessity or vulnerability; (e) emotional distress or personal crisis at the time of contracting.

ELEMENT 2 — IMPROVIDENT BARGAIN: The contract was sufficiently unfair — grossly one-sided, oppressive, or disadvantageous to the weaker party — that no reasonable person with full information and equal bargaining power would have agreed to it. Mere inadequacy of price is insufficient — the disparity must be substantial. BOTH ELEMENTS MUST BE PRESENT. A weak party who made a good deal cannot invoke unconscionability. A sophisticated party who made a bad deal cannot invoke unconscionability. REMEDY: The court may set aside the contract (void or voidable), vary its terms, or impose equitable relief.

STEP 1: Inequality of Bargaining Power

Because [PARTY B] [had limited formal education and could not assess the value of the asset / was under significant financial pressure and had no practical alternative / lacked specialized knowledge that [PARTY A] possessed / was in a position of vulnerability (age, illness, crisis)], there was a significant inequality of bargaining power between [PARTY A] (the stronger party) and [PARTY B] (the weaker party).

STEP 2: Improvident Bargain

Because [PARTY B] received [\$X] for an asset worth [\$Y] — a disproportion of [Z%] / received consideration that was substantially below market value / gave up [SIGNIFICANT RIGHT] in exchange for [MINOR BENEFIT], the bargain was improvident. Harry: Harry received \$4,500 for a boat and fishing licence worth \$16,000. No reasonable person with full information would have agreed to such terms.

STEP 3: Was [PARTY A]'s Conduct Particularly Blameworthy?

Because [PARTY A] [actively concealed the true value of the subject matter / took advantage of [PARTY B]'s obvious vulnerability / failed to advise [PARTY B] to seek independent legal advice / misrepresented the terms], [PARTY A]'s conduct strengthens the unconscionability finding. [CONVERSELY: if [PARTY A] was merely driving a hard but honest bargain, unconscionability is less clearly established.]

CONCLUSION

The contract [is / is not] unconscionable under *Harry v Kreutziger*. [ELEMENT 1]: There [was / was not] a significant inequality of bargaining power between [PARTY A] and [PARTY B] because [REASON]. [ELEMENT 2]: The bargain [was / was not] improvident — [PARTY B] received [VALUE RECEIVED] against [VALUE OF SUBJECT MATTER] — a disproportion that no reasonable person with full knowledge would have accepted. The court [should / should not] set aside the contract [in full / partially].

Template 20 — Duress and Undue Influence**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use when a party's consent was overborne by threats, pressure, or the exploitation of a position of influence.

Economic duress is the most common exam scenario — a party threatening to breach an existing contract unless more money is paid.

ISSUE

The issue is whether [PARTY B]'s consent to [the modification / the new contract / the payment] was vitiated by [ECONOMIC DURESS — illegitimate pressure / UNDUE INFLUENCE — exploitation of a position of dominance], such that the agreement should be set aside.

RULE

DURESS — THREE FORMS: (1) **PHYSICAL DURESS:** Violence or threat of violence — renders the contract VOID. (2) **ECONOMIC DURESS:** Illegitimate commercial pressure that leaves the party with no practical alternative but to agree. Test: (a) was the pressure ILLEGITIMATE? (hard bargaining ≠ illegitimate pressure; threatening breach of an existing contract typically IS illegitimate); (b) was the pressure a SIGNIFICANT CAUSE of the contract being entered? (3) **SOCIAL / PSYCHOLOGICAL DURESS:** Recognized in extreme cases. **UNDUE INFLUENCE:** (1) **PRESUMED:** Arises automatically in special relationships (parent-child; solicitor-client; doctor-patient; guardian-ward; religious adviser). The stronger party must show the weaker party had INDEPENDENT ADVICE and acted freely. (2) **ACTUAL:** Must be proved on the facts — the stronger party exercised influence that overcame the weaker party's free and independent judgment. **LLOYDS BANK v BUNDY [1975]:** Lord Denning identified a broad doctrine of 'inequality of bargaining power' as the unifying basis for unconscionability, duress, and undue influence. Canadian courts draw on this analysis without formally adopting it.

STEP 1: Identify the Nature of the Pressure

Because [PARTY A] [threatened to stop work unless paid more / refused to deliver essential goods unless [PARTY B] agreed to new terms / threatened to expose [PARTY B]'s business secrets unless payment was made], the pressure was [economic duress / physical duress / undue influence].

STEP 2: Economic Duress — Illegitimate Pressure?

Because [PARTY A]'s threat to [stop performance / refuse to deliver] on an existing contract [was a breach of Contract A's terms / was illegitimate because it had no basis in the contract], the pressure was ILLEGITIMATE. Compare: if [PARTY A] simply offered [PARTY B] a choice at arms' length (take it or leave it), this is hard bargaining, not duress. **WAS THERE A PRACTICAL ALTERNATIVE?** Because [PARTY B] [could not source the goods/services elsewhere in time / would have suffered severe economic harm if it refused / had no time to seek relief from the courts before irreparable damage occurred], [PARTY B] had no practical alternative but to agree. The lack of practical alternative is critical — if the party had reasonable alternatives, duress may not be established.

STEP 3: Was the Pressure a Significant Cause?

Because [PARTY B] [agreed only because of [PARTY A]'s threat / protested at the time / entered the agreement under immediate financial pressure], the illegitimate pressure was a SIGNIFICANT CAUSE of [PARTY B]'s consent.

STEP 4: Undue Influence Analysis

[IF SPECIAL RELATIONSHIP EXISTS]: Because [PARTY A] and [PARTY B] were in a [solicitor-client / doctor-patient / parent-child / religious leader-congregant] relationship, undue influence is PRESUMED. [PARTY A] must show [PARTY B] had INDEPENDENT LEGAL ADVICE before entering the transaction and that [PARTY B]'s decision was a free exercise of independent judgment. [IF NO SPECIAL RELATIONSHIP]: [PARTY B] must prove ACTUAL undue influence — that [PARTY A]'s influence so dominated [PARTY B]'s decision-making that [PARTY B] could not exercise independent judgment.

CONCLUSION

[PARTY B]'s consent [was / was not] vitiated by [duress / undue influence]. [Economic duress: the pressure was [legitimate / illegitimate], [PARTY B] [had / did not have] a practical alternative, and the pressure [was / was not] a significant cause of consent.] [Undue influence: [presumed (special

relationship) / actual (proved on facts)] — [PARTY A] [did / did not] establish free and independent consent.] The agreement [should / should not] be set aside.

PART E

VITIATING FACTORS — MISTAKE, MISREPRESENTATION, FRUSTRATION, ILLEGALITY

Template 21 — Common Mistake — Bell v Lever Brothers

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when BOTH parties entered the contract under the SAME mistaken belief about a fundamental matter.

Apply sparingly — the threshold under Bell v Lever Brothers is extremely high. Most 'common mistake' arguments fail.

ISSUE

The issue is whether the contract between [PARTY A] and [PARTY B] is void for common mistake — specifically whether both parties shared the same fundamental mistaken belief about [DESCRIBE THE MISTAKEN FACT], such that the very basis of the contract was absent.

RULE

COMMON MISTAKE: Both parties are wrong about the same fundamental fact, but their intentions match — they agreed on the same terms but were both wrong about the subject matter or circumstances. BELL v LEVER BROTHERS [1932] HL: THE THRESHOLD TEST. Common mistake voids a contract only where the mistake is SO FUNDAMENTAL that the subject matter of the contract is ESSENTIALLY DIFFERENT from what both parties believed it to be. This is an exceptionally high bar — even a mistake that means one party received far less than they bargained for does not necessarily satisfy it. THE TEST: Did the mistake make the subject matter of the contract ESSENTIALLY DIFFERENT from what both parties believed? Not merely less valuable, not merely different in quality — but essentially different in nature. EXAMPLES: • Both parties contract for specific goods that, unknown to either, no longer exist at the time of contracting → void for common mistake (res extincta). • Both parties contract under the belief that a person has the right to sell something they do not actually own → void for common mistake (res sua). • Both parties believe goods are of a specific quality — in fact the quality is lower → NOT void (Bell v Lever Brothers: parties did not think they were buying 'a fundamentally different thing').

STEP 1: Identify the Shared Mistaken Belief

Because both [PARTY A] and [PARTY B] believed [DESCRIBE THE SHARED BELIEF — that the subject matter existed / had specific characteristics / was of a particular quality] at the time of

contracting, and this belief was in fact false, both parties shared the same mistaken belief.

STEP 2: Apply the Bell v Lever Brothers Test

The critical question is: does the shared mistake make the subject matter of the contract **ESSENTIALLY DIFFERENT** from what both parties believed? [IF YES — **ESSENTIALLY DIFFERENT**]: Because [PARTY A] and [PARTY B] contracted for [DESCRIBE] but, due to the shared mistake, the actual subject matter was [DESCRIBE HOW IT WAS ESSENTIALLY DIFFERENT — not merely less valuable, but a completely different thing in nature]. The mistake satisfies the Bell threshold and the contract is void. [IF NO — **MERELY LESS VALUABLE OR DIFFERENT IN QUALITY**]: Because [PARTY A] and [PARTY B] were mistaken about the [quality / value / profitability] of [the subject matter], but the subject matter itself is what both parties contracted for — [PARTY B] received what it bargained for, albeit of less value or utility — the mistake does not satisfy the Bell threshold. The contract remains binding. Bell itself: Lever Brothers received the termination of the employment contracts they bargained for, albeit at a price they would not have paid if they had known about the directors' breaches.

STEP 3: Consider Equitable Relief — Solle v Butcher

Even if the mistake does not satisfy Bell's strict common law test (void), equitable relief (rescission) may be available under the broader equitable doctrine of common mistake (Solle v Butcher [1950] UK). However: The Great Peace [2003] UK EWCA curtailed this doctrine in England. Canadian courts have not consistently adopted or rejected equitable common mistake as a doctrine separate from Bell. Argue the equitable position as an alternative argument, but note the uncertainty in Canadian law.

CONCLUSION

Common mistake [does / does not] void the contract between [PARTY A] and [PARTY B]. The shared mistaken belief about [DESCRIBE] [does / does not] make the subject matter 'essentially different' from what both parties believed — applying Bell v Lever Brothers. [If Bell threshold not met]: the contract is binding. [Equitable argument]: rescission in equity may alternatively be available if the court is willing to adopt the broader Solle v Butcher approach.

Template 22 — Mutual and Unilateral Mistake — Raffles / Smith v Hughes / Boulton

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use for mutual mistake (parties at cross-purposes) and unilateral mistake (only one party is mistaken — typically about quality or identity).

ISSUE

The issue is whether the contract between [PARTY A] and [PARTY B] is void or voidable by reason of [MUTUAL MISTAKE — each party had a different understanding of what was being contracted for / UNILATERAL MISTAKE — [PARTY B] was mistaken about [quality / identity of subject matter or party] and [PARTY A] knew or should have known of the mistake].

RULE

MUTUAL MISTAKE (*Raffles v Wichelhaus* [1864]): Both parties intended something different by the same words — they were at cross-purposes. Where neither interpretation is objectively preferred over the other, there is no consensus ad idem — no contract formed. **UNILATERAL MISTAKE — QUALITY** (*Smith v Hughes* [1871]): ONE party was mistaken about the quality or attributes of the subject matter — not the subject matter itself. This type of mistake does NOT generally void the contract. The objective test applies — the contract is as the non-mistaken party reasonably understood it. If the non-mistaken party did nothing to create or exploit the mistake, the contract stands. **UNILATERAL MISTAKE — IDENTITY** (*Boulton v Jones* [1857]): ONE party was mistaken about the IDENTITY of the party they were contracting with (not merely their attributes). Where identity of the contracting party is fundamental to the contract (e.g., because the party has a specific set-off or right arising against the original intended counterparty), the mistake may void the contract. This is rare.

STEP 1: Classify the Mistake

[**MUTUAL MISTAKE — CROSS-PURPOSES**]: Because [PARTY A] understood '[TERM]' to mean [INTERPRETATION A] and [PARTY B] understood it to mean [INTERPRETATION B], and applying an objective test, neither interpretation is more reasonable than the other (as in *Raffles* — two ships named *Peerless*), there was no meeting of the minds. No contract was formed. [**UNILATERAL — QUALITY**]: Because [PARTY B] was mistaken about the [age / quality / condition] of [the subject matter], but [PARTY A] did not misrepresent anything and the subject matter is as [PARTY A] described it, this is a unilateral mistake as to quality under *Smith v Hughes*. The mistake does not void the contract — [PARTY B] receives what [PARTY A] contracted to supply. [**UNILATERAL — IDENTITY**]: Because [PARTY B] intended to contract with [PERSON X] (with whom [PARTY B] had a specific legal relationship — e.g., a set-off arising from prior dealings) and instead unknowingly contracted with [PERSON Y], the identity of the contracting party was fundamental. Under *Boulton v Jones*, the contract may be void — [PARTY B] is not bound to accept performance from a stranger when the identity of the party was crucial to the transaction.

CONCLUSION

The mistake is [mutual (cross-purposes) / unilateral as to quality / unilateral as to identity]. [Mutual mistake (*Raffles*): no contract formed — there was no consensus ad idem.] [Unilateral — quality (*Smith v Hughes*): contract binding — [PARTY B] receives what was contracted for.] [Unilateral — identity (*Boulton*): contract potentially void — identity of [PARTY X] was fundamental to [PARTY B]'s decision to contract.]

Template 23 — Misrepresentation — Three Types and Remedies**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use whenever a pre-contractual statement was false and induced the contract.

Apply BEFORE (or in addition to) the representation vs term analysis (Template 13). If the statement was a TERM, breach of contract remedies apply. If a REPRESENTATION, this template governs.

ISSUE

The issue is whether [PARTY A]'s pre-contractual statement — that [DESCRIBE STATEMENT] —

was a MISREPRESENTATION that entitles [PARTY B] to [rescind the contract / claim damages / both].

RULE

THREE ELEMENTS OF ACTIONABLE MISREPRESENTATION: (1) A false statement of FACT (not opinion, future intention, or law) made by [PARTY A]. (2) The statement INDUCED [PARTY B] to enter the contract — [PARTY B] relied on it and was materially influenced by it. (3) The statement was made BY OR ON BEHALF OF [PARTY A] (or their agent). THREE TYPES: (1) FRAUDULENT: False statement made knowing it was false, or recklessly as to its truth (*Derry v Peek* [1889]). Remedies: rescission + tort damages for all direct loss (no foreseeability limit — *Doyle v Olby*). (2) NEGLIGENT: False statement made carelessly, without reasonable grounds, in circumstances giving rise to a duty of care (*Hedley Byrne / Queen v Cognos* [1993] SCC). Remedies: rescission + tort damages for foreseeable loss. (3) INNOCENT: False statement made with reasonable grounds for belief in its truth. Remedy: RESCISSION ONLY (no damages at common law). BARS TO RESCISSION: (a) affirmation; (b) lapse of time; (c) restitutio in integrum impossible; (d) third party rights. NOTE: Silence is generally NOT misrepresentation. Exceptions: (a) half-truths; (b) change of circumstances (a once-true statement becomes false); (c) contracts of utmost good faith (*uberrimae fidei*) such as insurance.

STEP 1: Establish the Elements

Because [PARTY A] stated [QUOTE OR DESCRIBE THE STATEMENT], and [PARTY B] [entered the contract / paid a deposit / took specific action] in reliance on this statement, the three elements are established: (1) FALSE STATEMENT OF FACT: The statement was [false — describe why] and was a statement of fact (not mere opinion or future intention) because [PARTY A was in a position of knowledge / the statement went beyond mere belief]. (2) INDUCEMENT: Because [PARTY B] [specifically asked about this matter / would not have entered the contract without this assurance / paid a deposit on the basis of this statement], the statement materially induced [PARTY B]'s decision to contract. (3) MADE BY [PARTY A]: Because [PARTY A] [personally made the statement / the statement was made by [PARTY A]'s agent — Margaret (CDL's agent) — who was acting within the scope of her authority], [PARTY A] is responsible for the statement.

STEP 2: Classify the Type of Misrepresentation

[FRAUDULENT]: Because [PARTY A] knew the statement was false [and actively concealed the truth / recklessly disregarded whether it was true], this is a fraudulent misrepresentation (*Derry v Peek*). [PARTY B] can claim rescission and ALL direct loss caused by the fraud, regardless of foreseeability. [NEGLIGENT]: Because [PARTY A] made the statement carelessly — without reasonable grounds for believing it was true — and had special knowledge or expertise on which [PARTY B] relied (*Hedley Byrne* duty of care; *Queen v Cognos*), this is a negligent misrepresentation. [PARTY B] can claim rescission and foreseeable tort damages. [INNOCENT]: Because [PARTY A] honestly and reasonably believed the statement was true at the time of making it, this is an innocent misrepresentation. [PARTY B]'s remedy is rescission only — no damages.

STEP 3: Is Rescission Available?

Because [PARTY B] [promptly sought rescission / affirmed the contract by continuing performance after learning of the misrepresentation / delayed in seeking relief], the right to rescind [is / is not] still available. [BAR — AFFIRMATION]: Because [PARTY B] continued to perform / accepted the property after learning the power lines were not buried, [PARTY B] may have affirmed the contract, barring rescission. [BAR — IMPOSSIBILITY OF RESTORATION]: Because [PARTY B] [consumed the goods / substantially altered the property / cannot restore the consideration], restitutio in integrum may be impossible. [BAR — THIRD PARTY RIGHTS]: Because [PARTY A] sold the property to [THIRD PARTY C] before [PARTY B] sought rescission, [PARTY B] cannot rescind against C's innocent title.

CONCLUSION

[PARTY B] has established a [fraudulent / negligent / innocent] misrepresentation by [PARTY A].
 [PARTY B] is entitled to: [FRAUDULENT: rescission + all direct loss (Doyle v Olby) — no remoteness limit.] [NEGLIGENT: rescission + foreseeable loss in tort (Hedley Byrne; Queen v Cognos).]
 [INNOCENT: rescission only.] The right to rescind [is / is not] barred by [affirmation / impossibility of restoration / third party rights / lapse of time]. [PARTY B] may elect the most favourable available remedy.

Template 24 — Negligent Misrepresentation — Hedley Byrne Framework**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use when a party with special skill or expertise made a careless statement that the other party relied upon to their detriment.

Apply to: professional advice (solicitor, accountant, engineer, real estate agent); commercial representations made by a party in a superior position of knowledge.

ISSUE

The issue is whether [PARTY A] is liable in tort for NEGLIGENCE MISREPRESENTATION — specifically, whether [PARTY A]'s statement that [DESCRIBE STATEMENT] breached a duty of care arising from a special relationship of proximity between [PARTY A] and [PARTY B], causing [PARTY B] to suffer [AMOUNT] in pure economic loss.

RULE

HEDLEY BYRNE & CO v HELLER & PARTNERS [1964] HL: A duty of care for a negligent misstatement causing PURELY ECONOMIC LOSS arises where: (1) The defendant has SPECIAL SKILL or knowledge relevant to the matter; (2) The defendant KNOWS (or ought to know) that the plaintiff will rely on the advice; (3) It is REASONABLE in all the circumstances for the plaintiff to rely on the defendant's expertise; (4) There is a sufficient relationship of PROXIMITY between the parties. QUEEN v COGNOS INC [1993] SCC (Canada): Five elements: (1) A duty of care based on a special relationship; (2) A representation that was untrue, inaccurate, or misleading; (3) The defendant acted negligently; (4) The plaintiff reasonably relied on the representation; (5) Detrimental reliance caused damage. ESSO PETROLEUM v MARDON [1976]: An oil company's expert statement about a petrol station's expected throughput was actionable as negligent misrepresentation — the company had special knowledge, knew Mardon would rely on it, and Mardon's reliance was reasonable. DISCLAIMER: Where the defendant disclaimed responsibility (as Heller did in Hedley Byrne — 'without responsibility'), the disclaimer may negate the duty of care or the reasonableness of reliance.

STEP 1: Does a Special Relationship Give Rise to a Duty of Care?

Because [PARTY A] [is a professional — solicitor / accountant / engineer / real estate agent / oil company with specialized expertise in site assessments] and [PARTY B] specifically sought [PARTY A]'s advice / [PARTY A] volunteered information in a context where reliance was foreseeable, [PARTY A] voluntarily assumed responsibility for the information. A duty of care is established under Hedley Byrne.

STEP 2: Was the Statement Negligent?

Because [PARTY A] [failed to verify the information before stating it / made the statement without reasonable basis / was careless in its investigation], and the statement turned out to be [materially false / substantially inaccurate], [PARTY A] acted negligently in making the statement.

STEP 3: Was Reliance Reasonable?

Because [PARTY B] [reasonably relied on [PARTY A]'s expertise / had no independent basis to verify the information / was specifically told by [PARTY A] to act on the information], [PARTY B]'s reliance was objectively reasonable. [CHECK: Was there a disclaimer? If [PARTY A] included a disclaimer of responsibility, assess whether it negates the reasonableness of reliance.]

STEP 4: Damages

Because [PARTY B] suffered [loss from investing in the gas station / loss from relocating in anticipation of the job / wasted costs in reliance on the advice], and this loss was caused by [PARTY A]'s negligent statement, [PARTY B] can recover its RELIANCE LOSS — the costs incurred in reliance on the statement — to be placed in the position it would have been in had the statement NOT been made. This is typically not the same as expectation damages (which place the party in the position as if the statement were true).

CONCLUSION

[PARTY A] [is / is not] liable for negligent misrepresentation under Hedley Byrne and Queen v Cognos. [Special relationship: [PARTY A]'s special knowledge + [PARTY B]'s foreseeable reliance = duty of care established.] [Negligent statement: [PARTY A] [failed to verify / was careless in its assessment].] [Reasonable reliance: [PARTY B] reasonably acted on [PARTY A]'s statement.] [Damages: [PARTY B] is entitled to recover its reliance loss of [\$X].]

Template 25 — Frustration — Davis Contractors Test and Categories**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use whenever a supervening event — after the contract was formed — makes performance of the contract radically different from what was originally contracted for.
BOTH sample exam Q2 and Q3 contain frustration issues. Master this template.

ISSUE

The issue is whether the contract between [PARTY A] and [PARTY B] has been FRUSTRATED by [DESCRIBE THE SUPERVENING EVENT] — specifically whether this event has made performance radically different from what was originally contracted for, such that the contract is discharged.

RULE

DAVIS CONTRACTORS LTD v FAREHAM URBAN DISTRICT COUNCIL [1956] HL: THE TEST.
'Frustration occurs whenever the law recognises that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which

performance is called for would render it a thing RADICALLY DIFFERENT from that which was undertaken by the contract.' (Lord Radcliffe) FIVE CATEGORIES OF FRUSTRATING EVENTS: (1) DESTRUCTION of the specific subject matter essential to performance: Taylor v Caldwell [1863] — music hall burns down before the concerts. (2) DEATH OR INCAPACITY in personal service contracts: where the specific person's performance was the essence of the contract. (3) SUPERVENING ILLEGALITY: A change in law after contracting makes performance of the original method illegal. (4) FAILURE OF THE CONTEMPLATED BASIS: Krell v Henry [1903] — coronation room; the SOLE purpose of the contract was defeated. (5) GOVERNMENT INTERFERENCE: Requisition, seizure, or embargo of the specific subject matter. WHAT IS NOT FRUSTRATION: • Increased cost or difficulty (Davis Contractors — labour shortages, cost increases). • A foreseeable risk that the party assumed in contracting. • Self-induced frustration (the party caused the 'frustrating' event). • Commercial inconvenience or poor bargain.

STEP 1: Identify the Supervening Event

Because [DESCRIBE THE EVENT] occurred AFTER the contract was formed [on DATE], this is a supervening event. [CHECK: Was the event foreseeable at contracting? If yes → not frustration. Was the event caused by either party's default? If yes → not frustration — self-induced.]

STEP 2: Apply the Davis Contractors Test

Is performance now RADICALLY DIFFERENT from what was contracted for? [YES — RADICALLY DIFFERENT]: Because [the subject matter was destroyed / the legal basis for performance disappeared / the entire purpose of the contract was defeated] and neither party can perform anything resembling what was contracted for, performance is radically different. The contract is frustrated. [NO — MERELY MORE DIFFICULT OR EXPENSIVE]: Because [the event made performance more expensive / delayed performance / made the contracted method unavailable but alternative methods exist], performance is not radically different — it is merely more burdensome. Davis Contractors: the contractor could still build the houses; it merely cost more and took longer. The contract was NOT frustrated. APPLY THE SPECIFIC CATEGORY: • [DESTRUCTION — Taylor v Caldwell]: Because [the music hall burned / the specific goods were destroyed] before performance was due, and the specific subject matter was essential to both parties' obligations, the contract is frustrated. The implied condition that the subject matter would continue to exist has been broken by no fault of either party. • [SUPERVENING ILLEGALITY]: Because [the Navigable Waters Act was enacted after contracting], making [pile-driving across the riverbed without ministerial approval] illegal, the contractual method of performance became illegal. The contract [was frustrated / may not be frustrated if an alternative legal method is available and the contract does not require the specific method]. • [FAILURE OF PURPOSE — Krell v Henry]: Because the SOLE purpose of the contract was [to watch the coronation procession / to use the subject matter for a specific occasion], and that purpose was totally defeated, the contract is frustrated. DISTINGUISH Herne Bay: where the subject matter had OTHER possible purposes not defeated by the supervening event, the contract is NOT frustrated.

STEP 3: Was the Risk Foreseeable?

Because [the blockade of Middle Eastern goods / changed riverbed conditions due to dredging / the possibility of legislation] [was / was not] reasonably foreseeable at the time of contracting as a commercial risk, the [PARTY] [bore / did not bear] this risk in contracting. A foreseeable risk assumed by the party prevents frustration — the supervening event was part of the normal commercial risk of this type of contract.

CONCLUSION

The contract [is / is not] frustrated by the supervening event. [The event made performance RADICALLY DIFFERENT from what was contracted for — specifically: [DESCRIBE HOW]. / The

event made performance more expensive or difficult, but not radically different (Davis Contractors — not frustrated).] [Category: [destruction / supervening illegality / failure of purpose].] [The frustrating event [was / was not] foreseeable / self-induced.] [Consequences: apply the Frustrated Contracts Act — see Template 26.]

POTENTIAL EXAM SCENARIOS

1. Carpet blockade makes Middle Eastern carpets unavailable. Contractor uses Italian carpets. → NOT frustrated (Davis Contractors). The contract can still be performed — using a different (more expensive) carpet is within the normal commercial risk of a carpeting contract. The increased cost does not make performance 'radically different.'
2. BDL discovers the riverbed has changed so dramatically that pile-driving is physically impossible. → Potentially frustrated — the specific method of construction (piles in sandstone) has been rendered impossible by changed conditions that were not foreseeable. But: could BDL have built a cantilevered bridge (the alternative)? If yes, performance may not be impossible.
3. Navigable Waters Act enacted after BDL contracted to build the bridge. BDL cannot get ministerial approval for pile-driving. → Supervening illegality. The original contracted method is illegal. Is performance itself impossible, or only the original method? A cantilevered bridge doesn't require approval — so the contract (to build a bridge) may not be frustrated, though the method changed.
4. Coronation room hire — King falls ill, procession cancelled. → Frustrated (Krell v Henry). Sole purpose of the contract was to watch the procession; that purpose is entirely defeated.
5. A contract to supply goods is frustrated when the specific factory producing those goods is destroyed by fire. → Frustrated (Taylor v Caldwell). The specific subject matter essential to performance no longer exists.

Template 26 — Frustrated Contracts Act — Consequences of Frustration

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use AFTER establishing that the contract is frustrated (Template 25).
The consequences of frustration under the Ontario Frustrated Contracts Act (RSO 1990, c. F.34) apply to any Ontario contract frustrated after the Act's commencement.

ISSUE

Having established that the contract between [PARTY A] and [PARTY B] was frustrated by [EVENT], the issue is the consequences of that frustration — specifically, whether [PARTY A] can recover the [deposit paid / advance payment made / value of work partially completed] under the Frustrated Contracts Act.

RULE

ONTARIO FRUSTRATED CONTRACTS ACT, RSO 1990, c. F.34: S.3(2) — MONETARY OBLIGATIONS: Money PAID before discharge is prima facie RECOVERABLE by the paying party. Money PAYABLE before discharge but not yet paid CEASES to be payable. This is the default position — prepayments are restored; pre-frustration payment obligations are extinguished. S.3(3) — VALUABLE BENEFIT: Where a party has conferred a VALUABLE BENEFIT on the other party before discharge, the court MAY order the benefiting party to pay a 'JUST SUM' for that benefit. The just sum may not exceed the value of the benefit. FACTORS FOR THE 'JUST SUM': The court considers: (a) The effect of the frustrating circumstances on the value of the benefit actually received; (b) The sum of

any money already paid to the party claiming the benefit; (c) Any pre-frustration expenses of the party benefiting. S.3(3) also allows the court to take into account PRE-FRUSTRATION EXPENSES incurred in performance — the performing party may retain a sum from any prepayment to cover those expenses. COMMON LAW FALLBACK — QUANTUM MERUIT: Where the Act does not apply (non-Ontario contract; parties contracted out of the Act), a party who partially performed before frustration may recover the market value of performance on a quantum meruit (restitutionary) basis.

STEP 1: Apply s.3(2) — Prepayments

Because [PARTY A] paid [PARTY B] [\$X] before the contract was frustrated, [PARTY A] can recover [\$X] under s.3(2). [CONVERSELY: if [PARTY B] was owed payment for pre-frustration work but had not yet received it, that obligation ceases under s.3(2).] SAMPLE EXAM Q3B APPLICATION: BDL deposited \$30,000 with the City. If the contract is frustrated by the Navigable Waters Act, BDL can recover the \$30,000 under s.3(2). The City's obligation to pay BDL \$250,000 (which had not yet been paid) ceases to be owing.

STEP 2: Apply s.3(3) — Valuable Benefit

Because [PARTY A / PARTY B] [completed X% of the bridge / delivered X goods / performed X weeks of work] before the contract was frustrated, and [the other party] received a VALUABLE BENEFIT from this partial performance, the court may order [the benefiting party] to pay a 'just sum' for the benefit. COMPUTING THE JUST SUM: • What is the value of the benefit received? [The bridge as built / the goods delivered / the services rendered — assessed at market value to the recipient]. • Has the frustrating event reduced the value of the benefit? [E.g., if the bridge was built in violation of the Act, its legal uncertainty reduces its value to the City]. • What pre-frustration expenses did the performing party incur? • The just sum = the court's equitable assessment of what is fair, not exceeding the value of the benefit. SAMPLE EXAM Q3C APPLICATION: BDL built the bridge (value = the bridge itself). The City received the bridge. Just sum = the court's assessment of the bridge's fair value — likely close to the contract price of \$250,000, reduced by the illegal element (no ministerial approval). BDL's cost overrun (\$350,000 vs \$250,000 contract price) is BDL's problem — the just sum does not automatically equal BDL's actual cost.

STEP 3: Quantum Meruit — Where Act Does Not Apply

[WHERE THE ACT DOES NOT APPLY OR IS INSUFFICIENT]: Under the common law doctrine of quantum meruit, a party who has conferred a benefit on another in the course of a frustrated contract may recover the reasonable value of the benefit — to prevent unjust enrichment. The value is assessed at market rates, not necessarily at the contract rate. QUANTUM MERUIT IS NOT EXPECTATION DAMAGES: The performing party recovers the reasonable value of what was delivered — NOT the profits they would have made under the contract.

CONCLUSION

Applying the Frustrated Contracts Act to the frustrated contract: [S.3(2): [PARTY A]'s prepayment of [\$X] is recoverable.] [S.3(3): [PARTY B] conferred a valuable benefit of [DESCRIBE] on [PARTY A], which had a market value of approximately [\$Y] before the frustrating event [reduced its value to [\$Z]]. The just sum is approximately [\$Z], adjusted for [PARTY B]'s pre-frustration expenses of [\$W].] [Quantum meruit: if the Act is insufficient, [PARTY B] can alternatively claim the reasonable market value of the benefit conferred.]

Template 27 — Illegality and Public Policy

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when the contract required illegal performance or is contrary to public policy.

Sample exam Q3B (Navigable Waters Act making pile-driving illegal after contracting) and Q3C (BDL built the illegal bridge) both raise illegality questions.

ISSUE

The issue is whether the contract between [PARTY A] and [PARTY B] is void or unenforceable for [ILLEGALITY AT FORMATION / SUPERVENING ILLEGALITY / PUBLIC POLICY — specifically because [DESCRIBE THE ILLEGALITY OR PUBLIC POLICY CONCERN]].

RULE

ILLEGALITY AT FORMATION: A contract is illegal from the outset if it requires a party to commit a crime or tort, violates an express statutory prohibition, or was entered without a required licence.

SUPERVENING ILLEGALITY: A contract that was legal when formed becomes illegal to perform because of a subsequent change in law. This typically constitutes **FRUSTRATION** (see Template 25) — the supervening illegality discharges the contract for the future.

ILLEGALITY IN PERFORMANCE: A contract that is legal in its terms but performed illegally may be tainted by the illegality, depending on the nature of the illegality and the degree of the innocent party's involvement.

CONSEQUENCES OF ILLEGALITY: The general rule is *ex turpi causa non oritur actio* — 'no action arises from a base cause.' Courts will not assist either party to enforce an illegal contract. Both parties are left where they stand. **EXCEPTIONS ALLOWING RECOVERY:** (1) Not in *pari delicto* (parties not equally at fault) — the less culpable party may recover. (2) Repentance before the illegal purpose is carried out — recovery of money paid before the illegal act occurs. (3) Illegal performance was incidental — not the central purpose of the contract. (4) **QUANTUM MERUIT / UNJUST ENRICHMENT:** Even where a contract is illegal, courts may allow a quantum meruit claim to prevent unjust enrichment if the circumstances warrant.

STEP 1: Identify the Nature and Timing of the Illegality

[**ILLEGALITY AT FORMATION**]: Because the contract required [PARTY A] to [describe illegal act] from the outset, the contract was illegal when formed. Neither party can enforce it. [**SUPERVENING ILLEGALITY**]: Because the contract was legal when formed but a subsequent law — [the Navigable Waters Act] — made the contracted method of performance illegal, this is supervening illegality. It may discharge the contract for the future (frustration) rather than voiding it *ab initio*.

STEP 2: Is the Contract Void or Merely Unenforceable?

[**VOID for illegality at formation**]: The contract is a nullity — no rights or obligations arise from it. Restitution may be available in narrow circumstances (not equally at fault; innocent party).

[**SUPERVENING ILLEGALITY = FRUSTRATION**]: The contract was binding up to the date the supervening law took effect. Rights accrued before that date remain enforceable. Future obligations are discharged. The Frustrated Contracts Act governs the consequences.

STEP 3: Can Either Party Recover Despite the Illegality?

[**Q3C SCENARIO — BDL built the bridge in violation of the Act**]: Because BDL performed work that was illegal (without ministerial approval), it cannot sue on the contract for the full contract price.

However: • **EX TURPI CAUSA** applied: BDL cannot enforce the contract — the bridge was built in

contravention of the Navigable Waters Act. • **UNJUST ENRICHMENT:** The City has received the bridge. Despite the illegality, unjust enrichment principles may allow BDL to recover the reasonable value of the benefit conferred on the City — quantum meruit. The City's acceptance of the bridge may be sufficient to ground a restitutionary claim. • **THE MINISTER SUPPORTED THE BRIDGE:** The Minister indicated prosecution was unlikely and supported public access. This does not cure the illegality (criminal law is not waived by prosecutorial discretion) but supports the argument that the public interest is not harmed by the City paying for the benefit received. • **JUST SUM (Frustrated Contracts Act s.3(3)):** If the contract is treated as frustrated (by the supervening Act), BDL can recover a just sum for the valuable benefit of the bridge — reduced to reflect the illegal element.

CONCLUSION

The contract [was illegal at formation / was frustrated by supervening illegality / was performed illegally]. Under the ex turpi causa principle, [PARTY A] [cannot / may] enforce the contract. [Exceptions: [not in pari delicto / unjust enrichment / incidental illegality] may permit recovery of [\$X] on a quantum meruit basis.] [Frustrated Contracts Act consequences: apply s.3(2) and s.3(3) if the supervening illegality is treated as frustration.]

PART F

REMEDIES FOR BREACH OF CONTRACT

Template 29 — Expectation Damages — Hadley v Baxendale

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use for every breach of contract damages calculation.

Apply the two-limb remoteness test, then address mitigation and certainty. These three limiting principles appear in every NCA exam question asking about damages.

ISSUE

The issue is the quantum of damages [PARTY B] is entitled to recover from [PARTY A] for breach of contract — specifically, whether the claimed losses [DESCRIBE THE CLAIMED LOSSES] are recoverable having regard to the rules of remoteness, mitigation, and certainty.

RULE

EXPECTATION DAMAGES: Place the innocent party in the position they would have been in HAD THE CONTRACT BEEN PERFORMED. The standard measure: [value of performance as promised] MINUS [value of performance as received] = expectation loss. **HADLEY v BAXENDALE [1854]: TWO LIMBS OF REMOTENESS:** (1) **FIRST LIMB:** Damages that arise NATURALLY from the breach according to the usual course of things — loss that any reasonable person would expect to result from this type of breach. (2) **SECOND LIMB:** Damages that are within the REASONABLE

CONTEMPLATION OF BOTH PARTIES AT THE TIME OF CONTRACTING as the probable result of breach, having regard to any special circumstances communicated by the plaintiff. **VICTORIA LAUNDRY v NEWMAN INDUSTRIES [1949]:** Refinement. The defendant must foresee the TYPE of loss, not the precise extent. And the question is not whether the loss was foreseeable in some universe, but whether it was a **SERIOUS POSSIBILITY** at the time of contracting. **DUTY TO MITIGATE:** The innocent party must take reasonable steps to minimize their loss. Failure to mitigate reduces recoverable damages by the amount that could have been avoided. **CERTAINTY:** Damages must be proved with reasonable certainty — speculative loss is not recoverable. But difficulty in precise quantification does not bar recovery of a fair estimate.

STEP 1: Calculate the Expectation Loss

Because [PARTY A] promised to [DESCRIBE WHAT WAS PROMISED] and instead [DESCRIBE BREACH], [PARTY B]'s expectation loss is: [OPTION A — COST OF COMPLETION]: The cost of completing [the work / the repairs / the delivery] as contracted = [\$X]. This is the amount needed to put [PARTY B] in the position it would have been in if [PARTY A] had performed. [OPTION B — DIFFERENCE IN VALUE]: The difference between the value of what was promised and what was received = [promised value \$X] MINUS [received value \$Y] = [\$X - \$Y]. This is appropriate where cost of completion would be disproportionate to the actual benefit (Peevyhouse). [OPTION C — LOST PROFITS]: [PARTY B]'s anticipated profit from the contract = [\$Z]. This is the appropriate measure where [PARTY B] was a business expecting to profit from the contract performance.

STEP 2: Apply Hadley — Remoteness

FIRST LIMB: Because [DESCRIBE THE LOSS] is the kind of loss that arises **NATURALLY** from this type of breach — any reasonable person knowing the contract terms would have expected this loss — it is recoverable under the first limb. **SECOND LIMB:** Because [PARTY B] had [communicated / not communicated] to [PARTY A] at the time of contracting that [DESCRIBE SPECIAL CIRCUMSTANCES — the mill had no spare shaft / the laundry had a government contract], [PARTY A] [did / did not] have the special circumstances within its reasonable contemplation. [IF NOT COMMUNICATED]: The special losses flowing from the undisclosed special circumstances — [the unusual government contract / the exceptional profits] — are **TOO REMOTE** to be recovered under Hadley. [PARTY B] can only recover losses that fall within the **FIRST LIMB** (naturally arising).

STEP 3: Mitigation

Because [PARTY B] [took / failed to take] the following steps after [PARTY A]'s breach: [DESCRIBE STEPS TAKEN OR OMITTED — found a replacement supplier / accepted the damaged goods without claiming / failed to halt further expenditure], [PARTY B] [did / did not] take reasonable steps to mitigate. [IF FAILED TO MITIGATE]: Because [PARTY B] could reasonably have [hired a substitute supplier / accepted alternative performance / halted further expenditure] at a cost of [\$X] and thereby avoided a loss of [\$Y], [PARTY B]'s recoverable damages are reduced by [\$Y]. [PARTY B] can only recover the loss that was unavoidable through reasonable mitigation.

STEP 4: Certainty

Because [PARTY B]'s [ordinary lost profits / extraordinary profits from the government contract / future business losses] [are supported by evidence of prior trading / are too speculative — only a theoretical possibility, not a serious prospect], these losses [are / are not] recoverable with sufficient certainty.

CONCLUSION

[PARTY B]'s expectation damages are [\$X]. [First limb: naturally arising losses of [\$A] are

recoverable.] [Second limb: special losses of [\$B] [are / are not] recoverable — special circumstances [were / were not] communicated at contracting.] [Mitigation: [PARTY B]'s failure to [mitigate step] reduces recoverable damages by [\$C].] [Certainty: [speculative claim for [\$D] is not recoverable — insufficient certainty.] NET RECOVERABLE DAMAGES: [\$X - \$C - \$D].

⚠ **EXAM TIP — ALWAYS ADDRESS ALL THREE LIMITS**

Every damages question requires you to address: (1) Remoteness (Hadley — first and second limb); (2) Mitigation (reasonable steps?); (3) Certainty (loss established?). Addressing only the quantum without the limiting principles loses marks on every NCA exam.

Template 30 — Reliance Damages and Wasted Expenditure — Anglia Television

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when the plaintiff claims the costs incurred in reliance on the contract rather than the profits expected from it.

Reliance damages are often more readily proved than lost profits — use this template when expectation profits are speculative or where pre-contractual expenses are also claimed.

ISSUE

The issue is whether [PARTY B] can recover its [pre-contractual / post-contractual] WASTED EXPENDITURE — specifically [DESCRIBE THE EXPENSES] — as reliance damages for [PARTY A]'s breach of contract.

RULE

RELiance DAMAGES: Place the innocent party in the position they would have been in HAD THEY NEVER ENTERED THE CONTRACT. Recovers expenses incurred in reliance on the contract. **ANGLIA TELEVISION LTD v REED** [1972] UK EWCA: [PARTY A] (an actor) breached a contract to appear in a TV production. Anglia had incurred significant pre-contractual expenses (director fees, set design, location scouting) before the contract was formed, in anticipation of it. **HELD:** These PRE-CONTRACTUAL expenses were recoverable as reliance damages — they were within Reed's reasonable contemplation as expenses likely to be wasted if he breached. **RULE:** Reliance damages can include expenditures incurred BEFORE the contract was formally concluded, provided they were within the defendant's reasonable contemplation as likely to be wasted upon breach. **CHOOSING BETWEEN RELIANCE AND EXPECTATION:** • The innocent party may elect whichever measure is greater. • **EXCEPTION:** The defendant can defeat a reliance claim by proving the plaintiff would not have recovered the expenditure even if the contract had been performed (i.e., the contract was a bad bargain and the plaintiff would have lost money even if fully performed). The burden of proof falls on the defendant.

STEP 1: Identify the Wasted Expenditure

Because [PARTY B] incurred the following costs in reliance on [PARTY A]'s promise: [LIST EXPENSES — \$X for design work / \$Y for staff engaged / \$Z for pre-contractual location fees / equipment purchased for the contract], and these expenses became worthless when [PARTY A] breached, [PARTY B] seeks recovery of [\$TOTAL] as wasted expenditure.

STEP 2: Were the Expenses Within PARTY A's Contemplation?

Because [PARTY A] knew at the time of contracting that [PARTY B] was [incurring pre-contractual expenses to prepare for the contract / had already spent money in anticipation of the contract] — this being a normal and foreseeable feature of this type of contract — the wasted expenses were within [PARTY A]'s reasonable contemplation as likely to be wasted upon breach (Anglia Television).

STEP 3: Include Pre-Contractual Expenses?

Because [PARTY B] incurred [\$X] BEFORE the formal contract was entered, the question is whether these pre-contractual expenses are recoverable. Under Anglia Television: yes, if [PARTY A] knew (or should have known) that [PARTY B] was incurring these expenses in anticipation of the contract, and they would be wasted if [PARTY A] breached.

STEP 4: Can PARTY A Defeat the Reliance Claim?

Because [PARTY A] argues that even if the contract had been performed, [PARTY B] would have made a loss (the contract was a bad bargain), [PARTY A] attempts to reduce or eliminate [PARTY B]'s reliance recovery. For this argument to succeed, [PARTY A] must prove — on the balance of probabilities — that [PARTY B]'s expenditure would not have been recouped even on full performance. [If PARTY A cannot discharge this burden, PARTY B recovers the full wasted expenditure.]

CONCLUSION

[PARTY B] is entitled to reliance damages of [\$X] (wasted expenditure caused by [PARTY A]'s breach). [Pre-contractual expenses of [\$Y] are [recoverable under Anglia Television (within contemplation) / not recoverable (PARTY A did not know about them at contracting)].] [PARTY A [has / has not] proved that the contract was a bad bargain that would have failed to recoup [PARTY B]'s expenses even if performed.] Net reliance recovery: [\$X + \$Y = \$Z].

Template 31 — Quantum Meruit and Restitution**IRAC TEMPLATE****USE THIS TEMPLATE WHEN:**

Use when: (a) the contract fails (for want of consideration, formation, or is frustrated) but one party has performed; OR (b) the innocent party chooses restitution rather than expectation damages; OR (c) the contract is entire and has not been substantially completed.

Sample exam Q3C — BDL built the bridge and invoices the City — is a quantum meruit scenario.

ISSUE

The issue is whether [PARTY B] is entitled to recover the reasonable value of [services rendered / goods supplied / work completed] — a quantum meruit — from [PARTY A], who has received the benefit of [PARTY B]'s performance without having contracted to pay for it [or where the contract has failed / been frustrated].

RULE

QUANTUM MERUIT ('as much as is deserved'): An obligation imposed by law to pay the reasonable value of a benefit conferred, to prevent unjust enrichment. It arises: (1) **WHERE A CONTRACT FAILS**: If the contract never validly formed (lack of consideration; failure of a condition) but one party performed, they may recover the value of performance in quasi-contract. (2) **WHERE A CONTRACT IS FRUSTRATED**: A party who partially performed before the frustrating event may recover the reasonable value of the benefit conferred — either under the Frustrated Contracts Act (s.3(3) just sum) or at common law. (3) **WHERE A CONTRACT IS BREACHED**: The innocent party may elect restitution instead of expectation damages — claiming the value of benefits they conferred on the defendant rather than the profits they expected. (4) **ENTIRE CONTRACT DOCTRINE**: Where a contract is 'entire' (one lump sum payable on complete performance), substantial incomplete performance does not entitle the performer to a proportionate payment. **EXCEPTION**: Where the other party has accepted the partial performance and obtained its benefit. **QUANTUM MERUIT IS NOT THE CONTRACT PRICE**: The claim is for the **MARKET VALUE** of the benefit conferred — not the contract rate. The contract rate is evidence of market value but does not cap the recovery.

STEP 1: Is Quantum Meruit Available on These Facts?

Because [DESCRIBE WHY — the contract was frustrated / the contract failed for [reason] / [PARTY B] partially performed and [PARTY A] accepted the benefit], quantum meruit [is / may be] available.

STEP 2: Has PARTY A Received a Valuable Benefit?

Because [PARTY A] [received the completed bridge / accepted delivery of the goods / took possession of the property], [PARTY A] has received a tangible and valuable benefit from [PARTY B]'s performance. [PARTY A] cannot retain this benefit without compensating [PARTY B] without being unjustly enriched.

STEP 3: What Is the Reasonable Value?

The reasonable value of the benefit is assessed at market rates — not necessarily at the contract rate. Because [PARTY B] completed [DESCRIBE WORK] at an actual cost of [\$X], and the market value of comparable work is approximately [\$Y], the quantum meruit claim is for approximately [\$Y]. [REDUCE FOR ILLEGALITY OR DEFECTIVE PERFORMANCE]: Because [PARTY B]'s work was [performed in contravention of the Navigable Waters Act / partially defective], the reasonable value of the benefit is reduced to reflect [the legal uncertainty attaching to the bridge / the cost of correcting defects]. A court would assess the 'just sum' (Frustrated Contracts Act s.3(3)) that is fair in all the circumstances — likely close to the original contract price of [\$250,000] rather than [PARTY B]'s actual costs of [\$350,000].

CONCLUSION

[PARTY B] is entitled to recover the reasonable value of its performance on a quantum meruit basis. [PARTY A] received a valuable benefit — [DESCRIBE] — with a market value of approximately [\$X]. [PARTY B]'s quantum meruit claim is for [\$Y], [reduced from [\$X] to account for [illegality / defective performance / the just sum analysis under the Frustrated Contracts Act]].

Template 32 — Specific Performance and Injunctions

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a party claims money damages are inadequate and they want the court to ORDER performance of the contract.

Land contracts are the primary context (Semelhago). Also: unique goods; contracts with no adequate damages alternative.

ISSUE

The issue is whether [PARTY B] is entitled to an order of SPECIFIC PERFORMANCE requiring [PARTY A] to [complete the sale of the land / deliver the specific goods / complete the contracted services], on the basis that money damages would be an inadequate remedy.

RULE

SPECIFIC PERFORMANCE: An equitable remedy ordering the defendant to perform the contract as promised. Available where money damages are inadequate. SEMELHAGO v PARAMADEVAN [1996] 2 SCR 415 (Canada): Land is NO LONGER automatically presumed unique for purposes of specific performance. The innocent party must establish that the specific land was unique to them — that money damages would genuinely be inadequate in the specific circumstances. Mass-produced housing developments may not be unique. WHEN SPECIFIC PERFORMANCE IS AVAILABLE: • Real property with specific features valued by the purchaser (location, heritage, view, specific access rights). • Shares in a private company conferring specific voting control not replaceable by money. • Unique goods — a one-of-a-kind painting, specific antique, rare manuscript. WHEN SPECIFIC PERFORMANCE IS NOT AVAILABLE: • Personal service contracts — courts will not compel one to work for another (amounts to compelled labour). • Contracts requiring continuous court supervision (building contracts; ongoing service contracts). • Where the plaintiff delayed unreasonably (laches) or acted inequitably. • Where specific performance would cause disproportionate hardship to the defendant. INJUNCTIONS: Where a party has a negative covenant (agreed NOT to do something — not to compete; not to disclose), an injunction may be granted to restrain breach. The interlocutory injunction test (RJR-MacDonald): (a) serious question to be tried? (b) irreparable harm without the injunction? (c) balance of convenience?

STEP 1: Are Money Damages Inadequate?

Because [PARTY B] sought to purchase [SPECIFIC LAND WITH PARTICULAR ATTRIBUTES / UNIQUE GOODS] and [the land is unique due to its [heritage designation / waterfront location / specific zoning rights] / the goods cannot be obtained from any other source], money damages [are / are not] an adequate substitute. [Per Semelhago: merely because the subject matter is land does not automatically make it unique — [PARTY B] must show specific attributes making it unique to them.]

STEP 2: Is the Contract for a Personal Service?

Because [PARTY A] [is an individual / corporation] [whose identity [was / was not] central to the contract], the contract [is / is not] for personal services. [IF PERSONAL SERVICE CONTRACT]: Specific performance will not be ordered — courts do not compel personal services.

STEP 3: Equitable Bars?

Because [PARTY B] [sought specific performance promptly / delayed X months after learning of the breach / continued to perform under the contract without protest], equitable bars [do / do not] apply. [LACHES: delay by [PARTY B] in seeking an equitable remedy may bar specific performance.] [CLEAN HANDS: [PARTY B]'s own breach or inequitable conduct may prevent the court from

exercising its equitable discretion.]

CONCLUSION

Specific performance [should / should not] be ordered. [Money damages ARE adequate → deny specific performance; award damages per Hadley.] [Money damages ARE NOT adequate (unique land — Semelhago; unique goods) → order specific performance.] [Personal service contract → no specific performance.] [Equitable bars [do / do not] prevent the remedy.] [ALTERNATIVELY: an injunction may be sought to restrain [PARTY A]'s breach of a negative covenant under the RJR-MacDonald interlocutory test.]

Template 33 — Duty to Mitigate

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use whenever a party has claimed damages that could have been reduced or avoided by taking reasonable steps.

This is a LIMITING PRINCIPLE that reduces recoverable damages — always address it in damages questions.

ISSUE

The issue is whether [PARTY B] took reasonable steps to MITIGATE its loss following [PARTY A]'s breach of contract, and whether [PARTY B]'s failure to mitigate should reduce its recoverable damages.

RULE

DUTY TO MITIGATE: An innocent party must take REASONABLE STEPS to minimize its loss after the other party's breach. Failure to take reasonable mitigation steps reduces the claimant's recoverable damages by the amount that could have been avoided. **THE STANDARD IS 'REASONABLE':** The duty does not require the innocent party to take extraordinary steps, incur unreasonable expense, risk their own financial position, or accept terms that are fundamentally different from the original contract. **CONSEQUENCES OF FAILURE TO MITIGATE:** The claimant cannot recover the portion of their loss that could have been avoided by taking reasonable mitigation steps. They bear the avoidable portion themselves. **EXPENSES IN MITIGATION:** Where the innocent party DOES take steps to mitigate — even if those steps ultimately do not reduce the loss — the reasonable costs of mitigation are recoverable from the defendant.

STEP 1: When Did the Duty to Mitigate Arise?

The duty to mitigate arose when [PARTY A] breached the contract on [DATE] / when [PARTY A] made clear it would not perform (anticipatory breach). From that point, [PARTY B] was obligated to take reasonable steps to minimize its loss.

STEP 2: What Reasonable Steps Were Available?

Following [PARTY A]'s breach, the following reasonable mitigation steps were available to [PARTY B]:

[OPTION A: source a replacement supplier at a comparable price]; [OPTION B: halt further expenditure on the project]; [OPTION C: accept alternative performance tendered by [PARTY A] at [cost/condition]].

STEP 3: Did PARTY B Take Those Steps?

[IF YES — MITIGATED]: Because [PARTY B] [sourced a replacement / halted expenditure / accepted alternative performance], [PARTY B] took reasonable steps to mitigate. The costs of mitigation ([X]) are recoverable from [PARTY A]. [IF NO — FAILED TO MITIGATE]: Because [PARTY B] [continued operating at a loss when it could have closed / failed to hire a replacement contractor / held on to the breach claim without acting], [PARTY B] did not take reasonable steps to mitigate. The portion of the loss that could have been avoided — [Y] — is not recoverable. [PARTY B] recovers only the unavoidable loss.

CONCLUSION

[PARTY B] [did / did not] take reasonable steps to mitigate. [If mitigated: the costs of mitigation ([X]) are recoverable from [PARTY A].] [If failed to mitigate: [PARTY B]'s recoverable damages are reduced by [Y] — the amount it could have saved by taking the available and reasonable steps of [DESCRIBE STEPS]. Net recoverable: [Z - Y].]

Template 34 — Anticipatory Breach — White & Carter Election

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when one party indicates — before the time for performance — that they will not perform. The key question: does the innocent party accept the repudiation (and sue now) or affirm the contract (and wait for performance date, claiming the full price)?

ISSUE

The issue is whether [PARTY A]'s [statement / conduct] constituted an ANTICIPATORY BREACH of contract, and what election [PARTY B] may make — accept the repudiation (terminating the contract and suing for damages immediately) or AFFIRM the contract and continue to perform, claiming the full contract price when due.

RULE

ANTICIPATORY BREACH: A clear, unequivocal indication by one party — before the time for performance — that it will not perform its contractual obligations. THE INNOCENT PARTY'S ELECTION: (1) ACCEPT THE REPUDIATION: Treat the contract as terminated immediately. The innocent party need not continue to perform; the duty to mitigate arises immediately; damages are assessed from the date of acceptance. (2) AFFIRM THE CONTRACT (White & Carter): The innocent party declines to accept the repudiation, continues to perform (if able to do so without the repudiating party's cooperation), and claims the FULL CONTRACT PRICE when it falls due. WHITE & CARTER (COUNCILS) LTD v MCGREGOR [1962] HL: White & Carter could display advertisements on dustbin lids without McGregor's cooperation. They ignored McGregor's cancellation and performed the full three-year contract. HELD: White & Carter could recover the full contract price — an innocent party who does not accept a repudiation may affirm and claim the full price. TWO QUALIFICATIONS TO

AFFIRMATION (from *White & Carter*): (1) The innocent party must be able to perform WITHOUT the other party's cooperation — affirmation is not available if performance requires the repudiating party's cooperation. (2) Continued performance must not be 'WHOLLY UNREASONABLE' — if there is no legitimate commercial interest in continuing, the court may refuse to allow the innocent party to 'run up the damages.'

STEP 1: Was There an Anticipatory Breach?

Because [PARTY A] [stated on [DATE] that it would not complete the contract / returned the goods and cancelled / clearly communicated it would not perform], this constitutes an anticipatory breach. The statement was [clear and unequivocal / may be ambiguous — if ambiguous, [PARTY B] should request clarification before electing].

STEP 2: What Election Did PARTY B Make?

[ACCEPTED THE REPUDIATION]: Because [PARTY B] [acknowledged the cancellation / stopped further expenditure / commenced legal proceedings immediately], [PARTY B] accepted the repudiation. The contract is terminated as of [DATE OF ACCEPTANCE]. [PARTY B]'s damages are assessed as of that date. The duty to mitigate began immediately. [AFFIRMED THE CONTRACT — *White & Carter*]: Because [PARTY B] [ignored the cancellation and continued performance / wrote back refusing to accept the cancellation], [PARTY B] elected to affirm the contract.

STEP 3: Was Affirmation Permissible?

[CAN PARTY B PERFORM WITHOUT COOPERATION?]: Because [PARTY B]'s performance [did / did not] require [PARTY A]'s cooperation — [PARTY B could display the advertisements without McGregor / the contractor needed the owner to grant site access before it could proceed] — affirmation was [permissible / not permissible]. [IS AFFIRMATION 'WHOLLY UNREASONABLE'?]: Because [PARTY B] [had a legitimate commercial reason for continuing — [existing commitments / customer obligations / savings from the contract] / had no interest in performing other than 'running up the damages'], continued performance [was / was not] wholly unreasonable. If wholly unreasonable, the court may limit [PARTY B]'s recovery to mitigation-based damages.

CONCLUSION

[PARTY A]'s [communication / conduct] constituted an anticipatory breach. [PARTY B] [accepted the repudiation (damages assessed immediately; duty to mitigate arises) / affirmed the contract (*White & Carter* — [PARTY B] can claim the full contract price when due, provided performance did not require [PARTY A]'s cooperation and continued performance was not wholly unreasonable)].

Template 35 — Liquidated Damages vs Penalty Clauses

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when the contract specifies a fixed sum payable upon breach.

The distinction between a valid liquidated damages clause and an unenforceable penalty is one of the most practically important in commercial contracting.

ISSUE

The issue is whether the clause in the contract between [PARTY A] and [PARTY B] — providing that on [breach of X], [PARTY A] shall pay [\$Y] — constitutes an enforceable LIQUIDATED DAMAGES clause (a genuine pre-estimate of loss) or an unenforceable PENALTY (designed to punish rather than compensate).

RULE

LIQUIDATED DAMAGES (VALID): A clause that represents a GENUINE PRE-ESTIMATE of the likely loss from breach, agreed in advance. Effect: the innocent party recovers the stipulated amount without needing to prove actual loss. PENALTY (VOID): A clause that imposes a payment greater than any plausible loss — designed to punish the defaulting party or to deter breach rather than compensate the innocent party. Effect: unenforceable. The innocent party must prove actual loss under Hadley. THE TEST (Dunlop Pneumatic Tyre Co v New Garage [1914] HL; refined in subsequent cases): (1) Was the stipulated sum a genuine pre-estimate of loss at the time of contracting? If yes → liquidated damages. (2) Was the stipulated sum GROSSLY EXCESSIVE compared to the greatest loss that could conceivably result from the breach? If yes → penalty. (3) Is the same sum payable on many different breaches of varying severity? If a single sum triggers for trivial breaches AND serious breaches, it is more likely a penalty. RECENT UK DEVELOPMENT (Cavendish Square v Makdessi [2016] UK SC): A clause is not a penalty merely because it exceeds the innocent party's financial loss if it reflects a legitimate interest beyond mere compensation (e.g., protecting a commercial reputation, deterring competitive behaviour). This development has not been uniformly adopted in Canada — the traditional Dunlop test remains the Canadian approach.

STEP 1: Identify the Clause

Because the contract provides that '[QUOTE THE CLAUSE — e.g., if delivery is delayed, [PARTY B] shall pay \$5,000 per day],' the question is whether this represents a genuine pre-estimate of loss or a penalty imposed to deter breach.

STEP 2: Was It a Genuine Pre-Estimate?

LOOKING AT THE CIRCUMSTANCES AT THE TIME OF CONTRACTING: [LIQUIDATED DAMAGES]: Because [PARTY A]'s anticipated daily losses from delayed delivery were approximately [\$5,000 per day — staff standing idle, rented equipment costs, customer penalties], the stipulated sum of \$5,000/day was a reasonable pre-estimate of actual likely loss. The clause is a VALID LIQUIDATED DAMAGES clause — [PARTY A] can recover the stipulated amount without proving actual loss. [PENALTY]: Because [the stipulated sum of \$1,000,000 for breach of a \$50,000 contract / the same sum is triggered whether the breach is trivial (one day late) or serious (non-delivery)], the clause is grossly disproportionate to any plausible loss and has the character of a penalty designed to deter breach rather than compensate for it. The clause is an UNENFORCEABLE PENALTY.

STEP 3: Consequences of Classification

[IF LIQUIDATED DAMAGES]: [PARTY A] is entitled to [\$Y × number of days/events of breach] without proving actual loss. The innocent party's task is simply to establish that the breach occurred. [IF PENALTY — UNENFORCEABLE]: [PARTY A] must prove its ACTUAL LOSS from the breach, subject to the usual Hadley remoteness, mitigation, and certainty requirements. [PARTY A] cannot simply rely on the stipulated sum.

CONCLUSION

The clause [is / is not] an enforceable liquidated damages clause. It [represents a genuine pre-

estimate of loss at the time of contracting / is grossly disproportionate to any plausible loss and has the character of a penalty]. [PARTY A] is entitled to [the stipulated sum (liquidated damages) / actual proven loss subject to Hadley (penalty, void)].

PART G

MULTI-ISSUE TEMPLATES — FULL EXAM QUESTION FRAMEWORKS

Template 28 — Restraint of Trade — Employment and Sale of Business

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use when a contract includes a non-compete, non-solicitation, or exclusive dealing clause challenged as unenforceable restraint of trade.

Common in employment agreements (now limited by Ontario's Working for Workers Act 2021) and sale of business agreements.

ISSUE

The issue is whether the restraint of trade clause in [PARTY B]'s [employment agreement / sale of business agreement] — which prohibits [PARTY B] from [competing / soliciting customers / working for competitors] within [GEOGRAPHIC SCOPE] for [TIME PERIOD] — is enforceable as a reasonable protection of a legitimate interest, or void as an unreasonable restraint of trade.

RULE

RESTRAINT OF TRADE CLAUSES are prima facie VOID but enforceable if: (1) They protect a LEGITIMATE INTEREST of the party imposing the restraint. (2) They are REASONABLE AS BETWEEN THE PARTIES — not more extensive than necessary to protect the legitimate interest. (3) They are REASONABLE IN THE PUBLIC INTEREST — do not unduly harm competition.

EMPLOYMENT CONTEXT (strict scrutiny): • Legitimate interests: trade secrets, confidential information, specialized client relationships. • NOT legitimate: protection from mere competition by a departing employee without access to proprietary information. • ONTARIO NOTE: Working for Workers Act, 2021 (now s.67.2 of the Employment Standards Act) PROHIBITS non-compete clauses for most Ontario employees (except C-suite executives). This represents a major statutory development.

SALE OF BUSINESS CONTEXT (more latitude): • Legitimate interest: protection of the goodwill transferred — the very thing the purchaser paid for. • Broader geographic, temporal, and subject matter scope is permissible.

SEVERANCE: Where only part of the clause is invalid (e.g., geographic scope too broad), courts may apply the 'blue pencil' test — striking the offending words and enforcing the remainder, if it remains grammatically complete and does not fundamentally change the clause's character.

STEP 1: Identify the Context — Employment vs Sale of Business

[EMPLOYMENT]: Because [PARTY B] was an employee of [PARTY A], the clause is subject to strict scrutiny. Note: if this is an Ontario employment contract entered after October 25, 2021, and [PARTY B] is not a 'C-suite' executive, the non-compete clause may be VOID under s.67.2 of the Employment Standards Act (Working for Workers Act, 2021). [SALE OF BUSINESS]: Because [PARTY B] sold [PARTY B]'s business to [PARTY A] and the restraint was part of the sale agreement, the clause receives greater deference — [PARTY B] received the full purchase price including the value of goodwill.

STEP 2: Does the Clause Protect a Legitimate Interest?

[EMPLOYMENT — LEGITIMATE]: Trade secrets + specialized confidential information to which [PARTY B] had exclusive access; specific client relationships developed through [PARTY B]'s privileged position. [EMPLOYMENT — NOT LEGITIMATE]: General skill and knowledge acquired during employment (available to any competent employee); mere desire to prevent the employee from competing using their general expertise. [SALE OF BUSINESS — LEGITIMATE]: The goodwill transferred with the sale — specifically, the vendor's ability to re-establish a competing business and undermine the very thing the purchaser paid for.

STEP 3: Is the Scope Reasonable?

GEOGRAPHIC SCOPE: Because the restraint covers [LOCATION], and [PARTY B]'s [clients were concentrated in / [PARTY A]'s business operated in] [SAME / DIFFERENT LOCATION], a [X km / provincial / national] geographic scope is [reasonable / unreasonably broad — no business justification for restraining competition in [REMOTE REGION]]. TIMEPERIOD: Because [PARTY B] had access to confidential information for [X YEARS], and the shelf-life of that information is approximately [Y YEARS], a [Z-year] restraint is [reasonable / unreasonably long — confidential information would no longer be competitively sensitive after [Y YEARS]]. SUBJECT MATTER: Because the restraint covers [ENTIRE INDUSTRY / specific product/service line], and [PARTY B]'s access to [PARTY A]'s confidential information related only to [SPECIFIC AREA], a [broad / narrow] subject matter scope is [reasonable / disproportionate].

STEP 4: Severance — Can the Invalid Part Be Struck?

Because the clause [contains separate provisions for each of Province A, Province B, and Province C / uses language susceptible to blue pencil severance], the court [can / cannot] strike [the offending geographic scope / the excessive time period] and enforce the remainder. [The blue pencil test requires: grammatical completeness of the remainder; no fundamental change in character.]

CONCLUSION

The restraint of trade clause [is / is not] enforceable. [ONTARIO EMPLOYMENT NOTE: If entered after October 25, 2021 and [PARTY B] is not C-suite, the clause may be void under the Working for Workers Act.] [Legitimate interest: [PARTY A]'s interest in [trade secrets / goodwill] [is / is not] a legitimate protectable interest in this context.] [Reasonableness: the [geographic / temporal / subject matter] scope [is / is not] more extensive than necessary to protect that interest.] [Severance: the court [can / cannot] apply the blue pencil — [REMAINING VALID PORTION] is enforceable.]

Template 36 — Full Exam Problem — Multi-Issue Framework (Q1 Tendering / Q2 Consideration-Privity / Q3 Frustration-Illegality)

IRAC TEMPLATE

USE THIS TEMPLATE WHEN:

Use for comprehensive multi-issue problems that combine formation, modification, privity, frustration, and remedies in a single fact pattern.

This is the comprehensive framework for the NCA sample exam questions — both official sample exams use the same four-question structure.

COMPREHENSIVE MULTI-ISSUE SEQUENCE

Apply the following analytical sequence whenever a fact pattern combines formation issues, modification/consideration issues, third-party/privity issues, and frustration/illegality with restitution. This mirrors the NCA sample exam structure.

ISSUE A: Formation / Contract A Framework (If Tendering)

1. Call for tenders = invitation to treat (Ron Engineering). Each compliant tender = offer creating Contract A. 2. Was the bid COMPLIANT with all specifications? (MJB — only compliant bids create Contract A.) 3. Did the privilege clause allow the non-compliant bid to be accepted? (MJB — privilege clause cannot override implied term to accept only compliant bids.) 4. Did the owner breach Contract A with compliant bidders? (Accepting non-compliant bid = breach.) 5. Exclusion clause? Apply Tercon three-step: interpretation → unconscionability → public policy. 6. Damages for breach of Contract A: reliance (bidding costs) or expectation (lost profit on Contract B).

ISSUE B: Modification and Pre-Existing Duty

1. Identify the ORIGINAL contract and its obligations. 2. What is the modification — does the modifying party provide ANYTHING NEW beyond their existing duty? 3. If no new consideration (Gilbert Steel) → modification unenforceable. If new consideration → binding. 4. Williams v Roffey practical benefit argument: available in Canada but uncertain — argue both sides. 5. Foakes v Beer: part payment of debt? → the creditor can sue for the balance absent fresh consideration. 6. Promissory estoppel: if the creditor led the debtor to rely on the part-payment settlement → estoppel as shield to prevent the creditor from suing for the balance.

ISSUE C: Privity and Third Party Beneficiary

1. Identify the third party — is it named in the contract? 2. Dunlop v Selfridge — third party cannot enforce the contract. 3. London Drugs exception: is the third party an EMPLOYEE performing the very contracted service? (Two conditions.) 4. Trust argument: did the contracting party hold the promise on trust for the third party? 5. Third party's independent cause of action: negligent misrepresentation (Hedley Byrne) for reliance loss?

ISSUE D: Frustration Analysis

1. Davis Contractors test: is performance RADICALLY DIFFERENT from what was contracted for? 2. Identify the category: destruction? Supervening illegality (Navigable Waters Act)? Loss of purpose (Krell)? 3. What is NOT frustration: mere cost increase; foreseeable risk; self-induced event. 4. If frustrated: apply Ontario Frustrated Contracts Act — s.3(2) (prepayments recoverable) and s.3(3) (just sum for valuable benefit).

ISSUE E: Illegality and Quantum Meruit

1. Was the contract illegal at formation or did supervening legislation make performance illegal? 2. Ex

turpi causa: courts will not enforce an illegal contract. 3. EXCEPTIONS: unjust enrichment; not equally at fault; repentance before illegal act. 4. Quantum meruit: even where the contract is tainted by illegality, if one party received a valuable benefit, restitution may be available to prevent unjust enrichment. 5. Just sum under Frustrated Contracts Act s.3(3) — assess at value to the recipient, not the performer's cost.

ISSUE F: Remedies Sequence

1. Identify the interests: expectation (benefit of bargain) vs reliance (wasted expenditure — Anglia Television) vs restitution (quantum meruit). 2. Apply Hadley remoteness to all claimed losses — first limb (naturally arising) and second limb (within contemplation). 3. Mitigation: has the innocent party taken reasonable steps? 4. Certainty: are the claimed losses sufficiently proved? 5. Specific performance: is money inadequate (Semelhago — not automatic for land)? 6. Punitive damages: Whiten — only where independently actionable wrong. 7. Liquidated damages vs penalty: genuine pre-estimate or grossly disproportionate?

TEMPLATE	USE FOR	KEY CASES
3	Offer vs invitation to treat	Partridge; Carlill; Ron Engineering
4	Tendering — Contract A/Contract B	Ron Engineering; MJB Enterprises; Tercon
5	Exclusion clause enforceability	Tercon 2010 SCC 4 (three-step)
7	Certainty / agreement to agree	May & Butcher
8	Pre-existing duty / modification	Stilk; Gilbert Steel; Williams v Roffey
10	Promissory estoppel	High Trees; Burrows [1968] SCR
11	Privity — third party beneficiary	Dunlop; London Drugs [1992] SCC
12	Conditions precedent / subsequent	Mackay v Dick
13	Representation vs term	Heilbut Symons; Dick Bentley; Oscar Chess
15	Interpretation	Sattva Capital 2014 SCC 53
18	Good faith / honest performance	Bhasin 2014 SCC 71; CM Callow 2020 SCC 45
19	Unconscionability	Harry v Kreutziger (1978) BCCA
23	Misrepresentation — three types	Derry v Peek; Esso v Mardon; rescission bars
24	Negligent misrepresentation	Hedley Byrne; Queen v Cognos [1993] SCC
25	Frustration — test and categories	Davis Contractors; Taylor v Caldwell; Krell v Henry
26	Frustrated Contracts Act	FCA s.3(2); s.3(3) just sum; quantum meruit
27	Illegality and public policy	Ex turpi causa; unjust enrichment exception
29	Expectation damages	Hadley v Baxendale; Victoria Laundry
30	Reliance damages	Anglia Television v Reed
31	Quantum meruit / restitution	Quantum meruit; FCA s.3(3)
32	Specific performance	Semelhago v Paramadevan [1996] SCC

34	Anticipatory breach / election	White & Carter v McGregor [1962]
35	Liquidated damages vs penalties	Dunlop Pneumatic Tyre v New Garage

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